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Tennessee Entertainment Commission  
("TEC") Production Incentive

Guidelines and Instructions for Application

**DISCLAIMER:** These are intended to be guidelines only and are subject to revisions. Please check with the Tennessee Entertainment Commission prior to submitting any applications to verify you are using the latest guidelines.

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*The definitions of capitalized terms used herein that are not found in the text below can be found in Section 9*

## **Section 1 – Program Overview**

### **1.1 Amount of Incentive**

#### **1.1.1 General Percentage**

The Tennessee Entertainment Commission (TEC) Production Incentive offers up to a twenty-five percent grant on Qualified Tennessee Expenditures (QTE) to Production Companies filming within Tennessee. Production Companies will enter into a Grant Contract with the Tennessee Department of Economic & Community Development (ECD) upon review and approval from the ECD Grants Committee. Funds are distributed to Qualified Production Companies through a Grant Contract and no expenditures will qualify until an effective date is assigned to the Grant Contract.

#### **1.1.2 Program Funding**

The TEC Production Incentive is funded through the Film/TV Fund. Funding is determined by the Department of Economic and Community Development and Tennessee General Assembly. The Production Incentive receives new funding on a Fiscal Year basis and is available July 1<sup>st</sup> to eligible productions.

### **1.2 Purpose of Program**

The program was enacted with the best interests of the State of Tennessee, which include, but are not limited to, marketing the state as well as job creation and economic development. This is not a “first come, first serve” program nor one of unlimited resources. The Tennessee Entertainment Commission and Department of Economic and Community Development shall have the sole discretion of awarding these incentives, in furtherance of the best interests of the State of Tennessee. The criteria for the Production Incentives are described herein. Any questions and/or requests for clarification can be directed to the Tennessee Entertainment Commission.

### **1.3 Credits & Marketing Requirements**

To access the rebate all qualified Productions are required to provide credits to the Governor, the State of Tennessee, Tennessee Entertainment Commission (TEC), Department of Economic and Community Development (ECD) and regional film commission(s) (if applicable) that provided services to the Production Company. All Qualified Productions are also required to include a static or animated Filmed in Tennessee logo (provided by the TEC) in the end credits. Additionally, production shall provide the TEC a selection of behind-the-scenes footage and stills for use on the Tennessee Entertainment Commission’s marketing channels, including the website ([www.tnentertainment.com](http://www.tnentertainment.com)), social media platforms (Facebook, Instagram, Twitter, and YouTube), and print materials. As part of this request, two-camera interviews from notable personnel involved in the project (Director, writer, producers, or cast members) discussing an overview of the project, their personal experience standing up a project or filming within the State of Tennessee, insight into the Tennessee location, production services or crew/musicians, and other information relevant to Tennesseans and the Commission’s economic development initiatives.

A fact sheet must be provided about the production/project, including its logline, writer and director, cast,

filming locations, number of production days in the state, and release schedule and platform, if available.

Materials should be delivered digitally or on a physical hard drive. As an alternative, the Commission can provide a videographer/photographer for behind-the-scenes capture for at least one production day, to be decided by the production. Materials captured by the Commission's team can be submitted for approval by the production team and/or studio before release. Access to broader EPK and marketing assets will be considered in lieu of original content on a case-by-case basis. Logo guidelines and assets will be provided to all approved grantees by the Tennessee Entertainment Commission. Productions shall communicate and coordinate and therefore grant access for set visits for TEC Staff and Government Officials.

## **Section 2 – Eligibility Requirements**

### **2.1 Types of Eligible Projects**

Feature films, Scripted Television Series and Scripted Television Pilots are eligible to apply for the incentive program provided that such productions are filmed in the State of Tennessee.

Unless deemed in the best interest of the State, live and recorded events, including news, sports, concerts and awards shows; talk shows, variety show formats; documentaries or docudramas; music videos; webisodes; unscripted television, reality, scripted reality, or all reality sub-genres; corporate marketing or training videos; projects consisting primarily of stock footage, and/or interviews; trailers promoting theatrical films not filmed in Tennessee; horror/slasher type feature films or projects, photo shoots or still photography; website development; and anything that is not original content recorded in Tennessee, will NOT qualify to receive an incentive.

The script and resulting production must not be obscene in nature, as defined by TCA 39-17-901. Projects applying for the TEC Production Incentive will be evaluated on a case-by-case basis. All scripts will be reviewed to ensure the production is in the best interest of the State. The content of the production must also not require that records be maintained pursuant to 18 U.S.C. Sec. 2257 with respect to any performer portrayed therein. The Production Company must comply with all applicable state and federal laws.

### **2.2 Minimum Spend**

Scripted Television Series, Feature Films and Television Pilots are required to have a minimum of \$200,000 in Qualified Tennessee Expenditures (QTE).

### **2.3 Principal Photography Start Dates**

Principal Photography must begin in Tennessee within 120 days from the Effective Date as defined in the guidelines.

## 2.4 Date Requirements for Eligible Expenditures

**Any expenses incurred before the Effective Date do not qualify as Qualified Tennessee Expenditures.**

It is recommended by the Tennessee Entertainment Commission that Form A: Registration for Certificate of Conditional Eligibility be submitted 30-45 business days before first day of pre-production. Expenses must be incurred within 12 months following the Effective Date. However, a Qualification Period may be extended upon approval of the Commission. All financial obligations incurred in-state shall be satisfied within reason (see Section 5 for completion notification) prior to submission of application for grant.

## Section 3 – Application Process and Requirements

### 3.1 Required Forms

- Form A- Registration for Certificate of Conditional Eligibility (see Index of Appendices)
- Form A: Annex I- Due Diligence Questionnaire (see Index of Appendices)

### 3.2 Timing of Forms

TEC recommends submitting Form A and Form A: Annex I - Due Diligence Questionnaire at least 30-45 business days prior to starting pre-production to allow for adequate time for the TEC to complete the application review and award process (see Section 4).

### 3.3 Other Required Information for FORM A

- Detailed preliminary budget
- Written description of project, including script and synopsis
- List of creative elements, if known (i.e., principal cast director, line producer, location manager, etc.)
- Plans for distribution, including the names of any distributor(s) to the extent known
- Description of the source(s) of financing (including any private placement memorandum)

## **Section 4 – Application Review and Award Process**

### **4.1 Certificate of Conditional Eligibility**

Upon the satisfaction of the initial application procedures by the Production Company and the approval of the Production by the ECD Grants Committee, the TEC will issue a Certificate of Conditional Eligibility (“CCE”) for the TEC Production Incentive to the Production Company. The CCE will certify that the Form A and Form A: Annex I - Due Diligence Questionnaire filed on behalf of this Production for participation in the program have been approved and the requested funds have been reserved for the Production Company. The CCE will outline the approved estimate of Qualified Tennessee Expenditures and provide the anticipated incentive amount.

The receipt of the CCE does not guarantee availability of the incentive funds nor the amount of funds ultimately awarded, as these are contingent on the final budget and the production meeting the requirements of the incentive program. Application approval is at the discretion of the ECD Grants Committee.

### **4.2 Grant Contract**

Production Companies will enter into a Grant Contract, typically within 30 to 45 business days of the issuance of the CCE, with the Department of Economic and Community Development. No expenditures will qualify until a Grant Contract is fully executed by both parties and an effective date has been assigned. Any anticipated increase in the Production Company’s Qualified Tennessee Expenditures, must be submitted to the TEC in writing and approved by the ECD Grants Committee or the additional expenditures will not be eligible for qualification. Any requests for the additional reservation of funds need to be submitted to the TEC on Form D and approved by the ECD Grants Committee (see Index of Appendices). The allocation of additional funds is subject to the availability of funds and the discretion of the Grants Committee. If it is determined that the Production Company has attempted to circumvent ANY of these guidelines, ECD may exercise its right to terminate the Grant Contract.

Upon the final award payment being received by the Production Company, the Grant Contract will be administratively closed out by ECD.

### **4.3 Pre-Production Meeting**

The Production Company will meet with TEC to discuss the Production before Principal Photography begins. It is strongly recommended by the Tennessee Entertainment Commission that the production accountant be present at this meeting.

## Section 5 – Qualified Expenditures

- Expenditures are considered Qualified Tennessee Expenditures only to the extent that the costs are clearly and demonstrably incurred in Tennessee in the pre-production, production, and post-production phases of a Qualified Production.
- Incurred in Tennessee means payments made for goods or services used in the state in connection with a Qualified Production AND purchased from a Tennessee Vendor or paid to a Tennessee Resident for a Qualified Production.
- Refer to Appendix B for an account-by-account description of eligibility.

### 5.1 Common Eligible Expenditures and Criteria for Qualification

- Qualified Tennessee Expenditures directly associated with the production including art direction, wardrobe, make-up, hair, location fees, rental of facilities and equipment, scoring/soundtrack, special effects, and all other customary post-production costs.
- Tennessee Resident wages, salaries, fees, per diem and fringe benefits (including pension, workers compensation and health and welfare payments) of Tennessee Resident cast and crew (whether paid to an individual, Loan-out Company or any other entity).
- Eligible payroll for feature films & TV Pilots are limited to the first \$250,000 in gross wages, salaries, fees, per diem and fringe benefits paid to a Tennessee Resident. (See Section 5.6).
- Any nonresident exception requests must be reviewed by the TEC and approved by the ECD Grants Committee to be deemed qualified for the rebate.
- Housing (in-state), living allowances and per diems paid to Tennessee Residents and nonresidents related to services performed in Tennessee during production.
- Travel of cast and crew to/from and within Tennessee, when purchased from a Tennessee Vendor (does not include private/charter flights).
- Insurance when purchased through a Tennessee Vendor and purchased specifically for a Qualified Production.
- Music related expenditures purchased from a Tennessee Vendor or Tennessee Resident including licensing, studio rentals, studio musicians, and equipment rental for the Qualified Production.
- On-Line purchase may be considered eligible ONLY if purchases are made from a Tennessee vendor. For example, purchases made to Airbnb (or similar) may be considered eligible but ONLY expenditures portions allocated to a Tennessee homeowner. No service or processing fees will be allowable.



## 5.2 Common Ineligible Expenditures

The following are examples of common expenditures incurred by Production Companies that are not eligible for the Production Incentive. This is not intended to be a complete list and is only provided for reference for typical Productions.

- Wages, salaries, and/or fees, of nonresident cast and crew members unless deemed qualified by the department.
- Costs/fees associated with packaging, advertising, marketing, distribution, financing, completion bonds, and audience tests.
- Any writing costs/fees that occurred prior to the effective date on the contract.
- Alcohol and tobacco – including use as props
- Cell phone reimbursements
- Contingency fees & Development fees
- Producer fees (unless accompanied by a payroll report and only for those services rendered in Tennessee by a Tennessee resident)
- Profit sharing payments
- Gifts/prizes
- Wrap party expenses or entertainment expenses of any kind
- In-kind services/goods
- Expenditures incurred in Tennessee for portions of Productions occurring out-of-state. (i.e., travel, equipment rental, crew/talent hires, or post-production for any portions of projects filming outside Tennessee).
- Post-production of a project that did not shoot in Tennessee, or has already shot in Tennessee, without receiving the required TEC approval in advance.
- Any expenditure for an approved project that is related to portions of a Qualified Production that did not physically occur in Tennessee.
- Payments made directly to the government (federal, state, county, or city), including permits and employer payroll taxes (FICA, SUI, etc.).
- Unless an exception has been requested, expenditures in the form of donations made to Section 501(c), non-profit organizations (Goodwill, Salvation Army, churches, museums, schools, etc.). Invoices issued by a revenue-generating entity who claim non-profit status due to organizational affiliations may be considered upon review by the Tennessee Entertainment Commission (TEC).

## 5.3 Pass-Through Companies

A Tennessee Vendor cannot be a pass-through company. If the vendor is a Tennessee Vendor but appears to be a pass-through company, then only those dollars that are of benefit to Tennessee will be allowed for the TEC incentive.

For example, ABC Productions pays Tennessee Supplier Company (TSC) to broker equipment and supplies for a film production. TSC finds equipment to lease from Jersey Film Supplies (JFS) in New Jersey for a \$100,000 leasing fee. TSC charges ABC Productions \$105,000 for equipment from JFS and \$10,000 for supplies purchased in Tennessee and a \$2,000 handling fee totaling \$117,000. Only the \$10,000 supplies expense, \$5,000 up charge (\$105,000 less \$100,000) and \$2,000 handling fee totaling \$17,000 are Qualified Tennessee Expenditures.

## 5.4 Assets

For the purchase of office, post-production, or effects equipment (including but not limited to computers, hardware and relevant components, printers, copiers, etc.), Qualified Tennessee Expenditures will include the lesser of the net costs of the asset after sales proceeds (if assets are sold) or 20% of the original cost.

For all assets, other than office, post-production, or effects equipment, with an original purchase price over \$5,000 the potential Qualified Tennessee Expenditures will be limited as follows:

- If the asset is sold, the Qualified Tennessee Expenditures shall be the lesser of the net costs of the asset after sales proceeds or 50% of the original cost of such asset.
- If the asset is retained, donated, gifted, or lost, the Qualified Tennessee Expenditures shall be no more than 50% of the original cost of such asset.
- If the asset is destroyed during the process of production, the Production Company shall maintain documentation to support the destruction of the asset (e.g. call sheets, production reports, still photographs, video footage, etc.) and 100% of that asset shall qualify as a Qualified Tennessee Expenditure.

## 5.5 Related Party Transactions

Payments exchanged between immediate family of owners or management and/or multiple enterprises having the same or similar owners must be “arm’s-length” and must be disclosed in the request for incentive reimbursements. Related parties shall be interpreted to include companies approved to receive the incentive, payments that are made to that company’s owner, partner, or principal. In order to substantiate that the Production is conducting transactions at “arm’s-length,” the Production Company must ask the Tennessee Entertainment Commission (TEC) for the Related Party Transaction Form and document the circumstances of all related party transactions. Compensation, such as payroll transactions or loans, made between related parties must be reasonably comparable to industry standards. With the exception of payroll-type transactions, the Production Company must solicit and maintain documentation of three bids from non-related parties, to perform the same services or provide the same products as the related party enterprise. To be a Qualified Tennessee Expenditure the amount paid to related party enterprises may be no more than the lowest of the three non-related party bids as well as meet the requirements as laid out in Section 5. Or as related to payroll type transactions, provide industry standard benchmarks for the applicable rates.

## 5.6 Residence and Related Reporting Requirements

Part I. Tennessee Residents must meet Tennessee Resident criteria, which require a Tennessee driver's license or identification (ID only) license. According to state law new residents or those returning to Tennessee and holding a driver’s license from another state must obtain a Tennessee driver’s license no later than thirty (30) days after establishing residency. All new or returning residents must surrender their out-of- state license at time of application for a Tennessee license. Tennessee law does not allow a resident of this state to hold more than one valid driver’s license or ID. Only foreign country licenses/IDs may be retained. All applicants obtaining an ID only license must meet the same standards for proof of identity, legal presence and residency as required for any driver’s

license. In order for expenses to qualify the individual must have a Tennessee driver's license or Identification (ID Only) license prior to each payment by the Production.

Part II. All Tennessee Residents must have a current fully completed profile (Credits, categories and contact information) in the TN Production Directory. Along with the Drivers License, they must provide a screenshot of their fully completed profile in the TN Production Directory listing. Without both documents, the TN resident is subject to a non-eligible status for the 25% TN Film and TV Incentive. Here's the link to register or update your profile [https://tn.reel-scout.com/crew\\_registration.aspx](https://tn.reel-scout.com/crew_registration.aspx).

## **5.7 Completion Notification**

Upon the completion of Principal Photography, the Production Company must post a notice, once a week for three consecutive weeks, in local newspapers distributed in each Tennessee location where production took place, and submit a notice to the TEC to post on the website. Production will notify the public of the need to file creditor claims with the Production Company by a specified date. The Production Company agrees that outstanding obligations are not waived by a creditor failing to file such claim by the specified date. The Production Company must include the production title, address, phone, and contact name(s) of its primary or corporate office - not a temporary Tennessee production office -- as vendors need to be able to contact the company after it has closed its local production office. Tennessee based companies should include their Tennessee primary or corporate office information. The Production Company must submit this information to the TEC and submit a copy of the newspaper bill for all three weeks to the TEC.

## **Section 6 – Financial Compliance (CPA Agreed Upon Procedures)**

### **6.1 Process and Timing**

A Certified Public Accountant ("CPA") hired by the Production Company will issue an Independent Accountants' Report on Applying Agreed Upon Procedures ("AUP") including the procedures required in Section 6.2 in accordance with attestation standards established by the American Institute of Certified Public Accountants. Unless an extension to the submission deadline is approved by the Commission, The AUP is to be submitted to TEC within 18 (eighteen) months of the Effective Date as defined by the Grant Contract. In the event that the Production Company needs additional time to submit the required documentation, a written request can be submitted to TEC.

## 6.2 Specific CPA Agreed Upon Procedures

The agreed-upon procedures will be as follows:

1. The CPA will read the regulations and guidelines of the Production Incentive.
2. The CPA will obtain from the Production Company a general ledger listing of all expenditures the Production Company determines to be Qualified Tennessee Expenditures ("QTE"). *\*QTE includes only verifiable expenditures; adjusting or correcting entries to the General Ledger are not usually independently verifiable expenditures.*
3. Inspect the QTE in accordance with Appendix B - Production Incentive Guidelines. Remove any non-qualified expenses from the population to be sampled. Non-Qualified expenditures are including but not limited to:
  - Wages, salaries, and/or fees, of nonresident cast and crew members unless deemed qualified by the department.
  - Costs/fees associated with packaging, advertising, marketing, distribution, financing, completion bonds, and audience tests.
  - Any writing costs/fees that occurred prior to the effective date on the contract.
  - Alcohol and tobacco – including use as props
  - Cell phone reimbursements
  - Contingency fees & Development fees
  - Producer fees (unless accompanied by a payroll report and only for those services rendered in Tennessee by a Tennessee resident)
  - Profit sharing payments
  - Gifts/prizes
  - Wrap party expenses and entertainment expenses of any kind
  - In-kind services/goods
  - Expenditures incurred in Tennessee for portions of Productions occurring out-of-state. (i.e., travel, equipment rental, crew/talent hires, or post-production for any portions of projects filming outside Tennessee).
  - Post-production of a project that did not shoot in Tennessee or has already shot in Tennessee without receiving the required TEC approval in advance.
  - Any expenditure for an approved project that is related to portions of a Qualified Production that did not physically occur in Tennessee.
  - Payments made directly to the government (federal, state, county, or city), including permits and employer payroll taxes (FICA, SUI, etc.).
  - Expenditures made to Section 501(c), non-profit organizations (including Goodwill, Salvation Army, churches, museums, schools, etc.)
  - No on-line purchases will be considered eligible as Qualified Tennessee Expenditures.
  - Costs paid or incurred before the effective date of the Grant Contract
  - Payroll handling fees processed outside Tennessee
  - Tennessee vendors acting as a passthrough company for out of state purchases.
  - Unless an exception has been requested, expenditures in the form of donations made to Section 501(c), non-profit organizations (Goodwill, Salvation Army, churches, museums, schools, etc.). Invoices issued by revenue generating entities who claim non-profit status due to organizational affiliations may be considered upon review by the TN Ent. Commission.

4. The CPA will verify the amount of QTE to ensure it meets the minimum spend.

**Expenditures (Payroll Non-Residents):**

5. The CPA will obtain the list from the Production Company of all Tennessee Qualified Non-Resident Expenditures approved by the TEC.
  - a. The CPA will test all Tennessee Qualified Non-Resident Expenditures, paid to individuals (payroll) selected from the general ledger, whether they were made to an individual or a loan-out company. For each item selected, the CPA will verify to supporting records (timecard or equivalent documentation):
    - i. The agreement of the date the expense was incurred
    - ii. The individual/loan-out company name
    - iii. Amount of the expense
    - iv. Tennessee Non-Resident status of the employee
    - v. Qualification in accordance with the TEC Guidelines
    - vi. The name, position and/or amount agree with the approved TEC list.
    - vii. Only the first \$250,000 in gross wages, salaries, fees, per diem and fringe benefits are qualified.
    - viii. The expenditure was paid or incurred for services rendered or goods used in Tennessee.

**Expenditures (Payroll Residents):**

6. The CPA will test certain QTE, paid to Tennessee **Resident** individuals (payroll) selected from the general ledger, whether they were made to an individual or a loan-out company. The items will be selected in accordance with Appendix F. For each item selected, the CPA will verify to supporting records (timecard or equivalent documentation):
  - a. The agreement of the date the expense was incurred
  - b. The individual/loan-out company name
  - c. Amount of the expense
  - d. Tennessee Resident status of the employee
  - e. Qualification in accordance with the TEC Guidelines
  - f. For payments made to loan-out companies or other entities, the CPA will verify that the loan-out company or other entity is a Tennessee Vendor.
  - g. Only the first \$250,000 in gross wages, salaries, fees, per diem and fringe benefits are qualified.
  - h. The expenditure was paid or incurred for services rendered or goods used in Tennessee.

**Expenditures (Excluding Payroll):**

7. The CPA will test certain QTE, other than payments to individuals (non-payroll) selected from the general ledger. The items will be selected in accordance with Appendix F. For each item selected, the CPA will verify to supporting records (invoice or equivalent documentation):

- a. Inspect invoices, check copies, bank statements, receipts, credit card support, or other equivalent documentation and trace vendor, date, and amount to the Tennessee expenditure.
  - b. Qualification in accordance with the TEC Guidelines
  - c. For payments made to loan-out companies or other entities, the CPA will verify that the loan-out company or other entity is a Tennessee Vendor.
  - d. The expenditure was paid or incurred for services rendered or goods used in Tennessee.
  - e. For payments to individuals verify Tennessee Resident status
8. The CPA will obtain fixed asset listings from the Production Company of all assets used in the Production as follows: (1) all office, post-production, and effects equipment; and (2) all other assets not considered office, post-production, and effects equipment with an original purchase price over \$5,000. The listings should indicate the status of the assets (e.g., retained, donated, gifted, or lost, etc.). A copy of both listings should be attached to the report. For all assets on the listings perform the following procedures:
- a. For all office, post-production, or effects equipment (including but not limited to computers, hardware and relevant components, printers, copiers, etc.), verify that the QTE is the lesser of the net costs of the asset after sales proceeds (if assets sold) or 20% of the original cost.
  - b. For all assets over \$5,000 not including office, post production and effects equipment, verify the following: (1) If the asset is sold, verify that the QTE is the lesser of the net costs of the asset after sales proceeds or 50% of the original cost of such asset; (2) If the asset is retained, donated, gifted or lost, verify that the QTE is 50% of the original cost of such asset; and (3) If the asset is destroyed during the process of production, verify that the production company maintains documentation to support the destruction of the asset (e.g. call sheets, production reports, still photographs, video footage, etc.) and allow 100% of the original cost of that asset.
9. The CPA will obtain from the Production Company a listing of all related party transactions included in the QTE. Related Party payments exchanged between immediate family of owners or management and/or multiple enterprises having the same or similar owners must be “arm’s-length” and must be disclosed in the request for incentive reimbursements. Related parties shall be interpreted to include companies approved to receive the incentive, payments that are made to that company’s owner, partner, or principal. The CPA will inspect documentation of three bids from non-related parties, to perform the same services or provide the same products as the related party enterprise. To be a QTE, the amount paid to related party enterprise may be no more than the lowest of the three non-related party bids.

#### **Wrap Up Procedures:**

10. The CPA will apply the rate of misstatement of the exceptions identified in procedure 6 and 7 above, if any, to the respective populations tested. The rate of misstatement will be calculated by the total value of the exceptions identified, divided by the total dollar value tested, and multiplied by the

respective populations tested. The total of all calculated misstatements for each population tested will be deducted from the original schedule of QTE to arrive at a revised amount of QTE. For exceptions noted in procedure 8, adjust the QTE for known misstatements noted and attach a listing of those misstatements.

11. Verify with a responsible official at the Production Company that any QTE included in insurance claims have been credited in the general ledger. If the production company filed an insurance claim and received funds, the CPA is to inspect the supporting documentation of the claim to ensure the expenditures were properly credited to the correct accounts in the general ledger.
12. The CPA will verify the amount of QTE after all adjustments meets the minimum spend. For Scripted TV Series, feature films and television pilots \$200,000.
13. The CPA will recalculate the amount of production incentive by multiplying the total QTE from the general ledger obtained in procedure 2 (above), as adjusted for the known and extrapolated misstatements identified in number 10 above by twenty-five percent (25%).

## 6.3 General Requirements

- The cost report must be in US dollars.
- The period during which the expenditures were incurred must be disclosed.
- For selected payments made to loan-out companies or other entities, the CPA must verify that the loan-out or other entities are Tennessee Vendors.
- The costs to be recorded are actual costs and shall not include any internal journal entries, mark-ups, or profit additions on the part of the production entity receiving the rebate.
- It is the Production Company's responsibility to ensure that all of the required information is provided.
- CPA shall be a licensed firm who has undergone a successful peer review in the most recent reporting cycle. Prior to the State's acceptance of the Independent Accountants' Report the Production Company must submit to the State a copy of the CPA's license & most recent peer review.
- All Qualified Tennessee Expenditures must be net of any refunds, rebates, or insurance claims.
- No internal journal entries.
- The production company should administer Petty Cash expenditures using standard accounting best practices. All documentation must be legible and must include the purchase date. The production company should maintain all Petty Cash Receipts and other pertinent documents in an orderly manner and available for review until after the final incentive payments have been processed.

## Section 7 – Reporting Process

### 7.1 Forms

Form C: Incentive Application must be completed in its entirety and submitted to the TEC along with all required attachments prior to finalization and payment of the incentive.

## 7.2 Timing

Unless an extension has been approved by the Commission, expenditures must be incurred within the Twelve (12) Month Qualification Period and all required information shall be submitted to TEC within eighteen (18) months of the Effective Date.

## 7.3 Data Reporting Requirements

See Appendix D – “Tracking Tips and Data Requirements” for complete set of data submission requirements and helpful hints for recording expenses during the Production.

## 7.4 Demonstration of Work

Prior to finalization and payment of the incentive, the production company will provide access to a screener of the Production, or the most recent edited version of the Production, to TEC & ECD. The production company will also provide at least five production still photos in an electronic format with rights cleared for promotional use. For feature films only, at least one poster for promotion of the project.

## 7.5 Final Credit Award and Payment

The Production Company will not be entitled to receive any incentives, nor will they file any of their claims with the state, until the internal evaluation of program requirements shows that the Production Company has complied with all its obligations under this program. Payments will be made by direct deposit **upon** the completion of the review process.

In order to receive the Production Incentive, the Production Company must submit an invoice of the amount of adjusted Qualified Tennessee Expenditures to the TN Entertainment Commission..

## 7.6 Hold Harmless

The payment contract requires the Production Company to indemnify and hold harmless the State of Tennessee as well as its officers, agents, and employees from and against any and all claims, liabilities, losses, and causes of action which may arise, accrue, or result to any person, firm, corporation, or other entity which may be injured or damaged as a result of acts, omissions, or negligence on the part of the Production Company, its employees, or any person acting for or on its or their behalf relating to the Production.



## **Section 8 – Confidentiality**

### **8.1 Tennessee Public Records Act**

The Tennessee Public Records Act is found in Tennessee Code Annotated (“TCA”) § 10-7-101 and the sections that follow it. For purposes of access to public records, the operative provision is found in TCA § 10-7-503, which says: “All state county and municipal records ... shall at all times, during business hours, be open for public inspection by any citizen of Tennessee, and those in charge of such records shall not refuse such right of inspection to any citizen, unless provided by state law.”

“Records” are defined in TCA § 10-7-301 as “all documents, papers, letters, maps, books, photographs, microfilms, electronic data processing files and output, films, sound recordings, or other material, regardless of physical form or characteristics made or received pursuant to law or ordinance or in connection with the transaction of official business of any governmental agency.”

In summary, documents that come into possession of a governmental agency either by virtue of receipt of the documents by the agency, or creation of the documents by the agency, are public records that must be made available for public inspection unless they are exempt from the disclosure by state law. TCA § 10-7-505(d) says the law “shall be broadly construed so as to give the fullest possible public access to public records.”

TCA § 10-7-504 lists several records and categories of records that are exempt from disclosure. In addition, this same provision lists cross-references to many statutes that exempt certain records from disclosure.

### **8.2 ECD Public Records Provision**

Supplemental to the Tennessee Public Records Act, the Department of Economic and Community Development (“ECD”) has adopted departmental open records provisions found at TCA § 4-3-730. Unless a specific exception applies, the information and documents maintained, received, or produced by ECD are open for inspection by the public, including proprietary information, state contracts, and related documentary materials.

## Section 9 - Definitions

**Cable Network:** Non-broadcast television programming that is transmitted to the viewer via cable, satellite, wireless, or internet protocol for a subscription, per program or per channel fee.

**Development Fee:** Fees include, but are not limited to, the procurement of screenwriting talent, script development, financing, distribution, foreign sales, and talent attachments.

**ECD Grants Committee:** Committee made up of ECD senior management that oversees the allocation of ECD program funds.

**Effective Date:** Date of the finalization of the Grant Contract and the date at which Qualified Tennessee Expenditures are permitted to begin being incurred by the Production Company.

**Eighteen (18) Month Submission Date:** Eighteen (18) months after the Effective Date, the date by which the Agreed Upon Procedures must be submitted to TEC.

**Estimated Tennessee Spend:** The amount of Qualified Tennessee Expenditures that a Production anticipates incurring in Tennessee through the Qualification Period.

**Feature Film:** Means a production of a film intended for commercial distribution to a motion picture theater, directly to the home video market, or via the Internet that has a running time of at least seventy-five (75) minutes in length.

**Grant Contract:** Tennessee prescribed contract entered into between the Production Company and ECD setting the terms and periods of performance as related to the Production Incentive.

**Journal Entries:** For the purposes of the TEC incentive, journal entries in the General Ledger are entries that show how the transaction/event changed. It could be a cost allocation transaction, or it could be that the production company received a refund and the spend is no longer applicable as a Qualified Tennessee Expenditures.

**Key Crew Positions:** Heads of a department hired by a production company, necessary for the purpose of producing a film or episodic series.

**Loan-Out Company:** A U.S. entity that is generally created by entertainment industry professionals. The entertainment professional becomes an employee of the corporation and the corporation “loans out” the services of the employee/shareholder.

**National Network:** A broadcaster which carries television programs through a series of local affiliates across the country.

**One Hundred Twenty (120) Day Start Date:** One hundred twenty (120) days after the Effective Date, the date by which Principal Photography must begin.

**Pass-Through Company:** For the purpose of the Tennessee Incentives program, a pass-through company is a business entity that engages in one type of business on a full-time basis, but they will transact for a good or service that is not a part of their usual line of business and pass-through the cost in order to have a good or service appear to be eligible for the TN Incentive.

**Principle Cast:** An ensemble cast is made up of cast members in which multiple principal actors and performers are assigned roughly equal amounts of importance and screen time in a dramatic production.

**Production:** A Feature Film, Scripted Television Episode, Scripted Television Pilot or Animation.

**Pre-Production:** The process of preparation for actual physical production which begins after a qualified Production Company has received a firm agreement of financial commitment. Customarily includes but is not limited to activities such as location scouting, hiring of key crew members, and establishment of a dedicated production office.

**Post-Production:** The final activities in a qualified motion picture's production, including but not limited to editing, foley recording, ADR, sound editing, negative cutting, color correction and sound mixing.

**Principal Photography:** Means the phase of production during which the motion picture is actually filmed, as distinguished from preproduction and post-production. Principal Photography days refers to the number of days shot by the principal unit with the director and lead actors usually present.

**Production Company:** Any corporation, partnership, limited partnership, limited-liability Company or other entity or individual that is principally engaged in producing a Production and that controls the Production during pre-production, production, and post-production. The applicant is the qualified taxpayer that upon final approval will receive the grant.

**Qualified Tennessee Expenditures (QTE):** Goods or services used in Tennessee in connection with a Qualified Production AND purchased from a Tennessee Vendor or paid to a Tennessee Resident for production occurring in Tennessee incurred within the Qualification Period.

**Qualification Period:** From the Effective Date through the Twelve (12) Month Completion Date.

**Qualified Production:** A Production filmed in Tennessee that has met all criteria of the program and been approved by the ECD Grants Committee.

**Scripted Television Series:** A group of episodes for a television program broadcast in regular intervals with a break between each group, usually with one year between the beginning of each and made up primarily of principal actors and cast using scripted dialogue within a structure scene between actors.

**Television Episode:** A distinctive and separate twenty-two (22) to sixty (60) minute program which is part of a television series.

**Television Series:** A segment of content intended for broadcast on television. It may be a one-time production or part of a periodically recurring series.

**Television Pilot:** The initial episode produced for a proposed television series.

**Tennessee Resident:** An individual with a permanent Tennessee Driver's License or Identification (ID Only) license.

**Tennessee Vendor:** For procurement purposes, TCA 12-4-12 ( c) (2) says that a Tennessee vendor/bidder means a business that "is incorporated in this state; that has its principal place of business in this state; or that has an established physical presence in this state."

**Twelve (12) Month Qualification Period:** Twelve (12) months after the Effective Date, the date by which all Qualified Tennessee Expenditures must be incurred.



# **Form A** **REGISTRATION FOR CERTIFICATION OF CONDITIONAL ELIGIBILITY**

Tennessee Entertainment Commission  
(615) 741-FILM (3456)  
[tn.entertainment@tn.gov](mailto:tn.entertainment@tn.gov)

| <b>Part 1: General Information (No use of commas, "&amp;" and any special characters in file name for all submissions)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                       |                                                              |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|--------------------------------------------------------------|
| Name of Eligible Production Company (Applicant)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Name of Person Completing form                                        | Title                                                        |
| E-mail Address                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Telephone Number                                                      | Fax                                                          |
| Company Address                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Company City, State, Zip                                              | Company Phone                                                |
| Website                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | State where Incorporated or Organized                                 | Federal Tax ID Number (FEIN)                                 |
| Does the company carry liability insurance in the amount of \$1M or higher? <input type="checkbox"/> Yes (Include a copy of COI) <input type="checkbox"/> No (Include a binder or quote from intended insurer)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                       |                                                              |
| Budget ( <i>entire project</i> )                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Total TN Expenditures ( <i>paid to TN residents and vendors</i> )     | Anticipated Incentive                                        |
| TN Wages Amount ( <i>paid to TN residents</i> )                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | TN Vendor Spend Amount ( <i>paid to TN vendors, excluding music</i> ) | TN Music Amount ( <i>licensing, recording, etc.</i> )        |
| TN Pre-Production Spend                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | TN Production Spend                                                   | TN Post-Production Spend                                     |
| Total Number of Episodes ( <i>if applicable</i> )                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                       | Number of Episodes to be shot in TN ( <i>if applicable</i> ) |
| Total Number of Crew                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                       | Total Number of Cast                                         |
| Number of TN Crew                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                       | Total Number of TN Cast                                      |
| Type of Production<br><input type="checkbox"/> Feature <input type="checkbox"/> Television (scripted) <input type="checkbox"/> TV Pilot                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                       |                                                              |
| Policies:<br><br>(i) The script and resulting production must not be obscene in nature, as defined by TCA 39-17-901. Projects applying for the TEC Production Incentive will be evaluated on a case by case basis. All scripts will be reviewed to ensure the production is in the best interest of the State. The content of the production must also not require that records be maintained pursuant to 18 U.S.C. Sec. 2257 with respect to any performer portrayed therein;<br><br>(ii) Unless deemed qualified by the department all Live and recorded events, including news, sports, concerts and awards shows; webisodes; talk shows; variety shows; unscripted television, reality, scripted reality or any reality sub-genres; documentaries or docudramas; music videos; corporate marketing or training videos; projects consisting primarily of stock footage and/or interviews; trailers promoting theatrical films not filmed in TN; photo shoots or still photography; website development; and anything that is not original content recorded in TN, <u>will NOT qualify</u> to receive an incentive;<br><br>(iii) The applicant shall provide the Tennessee Entertainment Commission ("TEC") with the information the TEC deems necessary to verify production expenditures, personnel expenditures and eligibility for an incentive;<br><br>(iv) Any expenses incurred before the date of effective date of the Grant Contract do not qualify as eligible expenditures, and thus cannot be used to calculate the incentive amount; and<br><br>(v.) The Department of Economic Community Development can reclaim the incentive amount awarded if a production has not met the responsibility of commencing work in Tennessee within the required limits set forth in Part 2 herein. |                                                                       |                                                              |

| Part 2: Production Schedule                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                  |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|
| Principal photography must begin in TN within 120 days from the Effective Date of the Grant Contract, unless a written request is submitted by the applicant to the TEC to extend the period for commencement of work and good cause for a delay is shown. In addition, projects must complete production in TN within the Twelve (12) month Qualification Period and submit all required documents for audit within the Eighteen (18) Month Submission Date. |                                                                                  |
| Date of expected commencement of work in TN                                                                                                                                                                                                                                                                                                                                                                                                                   | Date when principal photography will begin in TN                                 |
| Date of expected completion of work in TN                                                                                                                                                                                                                                                                                                                                                                                                                     | Number of days estimated for production in TN, including pre and post production |

| Part 3: Additional Documentation to be supplied by Applicant |                                                                                                           |
|--------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|
| a.                                                           | Detailed preliminary budget                                                                               |
| b.                                                           | Written description of project, script & synopsis                                                         |
| c.                                                           | List of creative elements, if known (i.e. principal cast director, line producer, location manager, etc.) |
| d.                                                           | Plans for distribution, including the names of any distributor(s) to the extent known                     |
| e.                                                           | Description of the source(s) of financing (including any private placement memorandum)                    |

**Part 4: Key Persons**

Please list the full name of each individual that is a director or officer of the applicant or that directly or indirectly holds an ownership interest greater than 20% in the applicant (each such person is hereby referred to as a "Key Person"). Each listed person must complete Annex I and return to the TEC with this Form A. Application will not be brought before the ECD Grants Committee until a completed Annex I has been returned for each key person.

| Name | Affiliation with Applicant | Ownership Interest in Applicant |
|------|----------------------------|---------------------------------|
|      |                            |                                 |
|      |                            |                                 |
|      |                            |                                 |
|      |                            |                                 |
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|      |                            |                                 |
|      |                            |                                 |

Please attach a separate sheet listing additional key persons, if necessary

**Part 5: Financing Sources**

Please list each financing source the applicant intends to utilize to finance the Production. Supporting documentation (including bank statements, commitment letters, term sheets, etc.) to be included with submission.

| <u>Financing sources</u>                                                                                                     |  | <u>Amount</u> |
|------------------------------------------------------------------------------------------------------------------------------|--|---------------|
| <div><input type="checkbox"/> Committed <input type="checkbox"/> Planned</div> <div>Supporting documentation included:</div> |  |               |
| <div><input type="checkbox"/> Committed <input type="checkbox"/> Planned</div> <div>Supporting documentation included:</div> |  |               |
| <div><input type="checkbox"/> Committed <input type="checkbox"/> Planned</div> <div>Supporting documentation included:</div> |  |               |
| <div><input type="checkbox"/> Committed <input type="checkbox"/> Planned</div> <div>Supporting documentation included:</div> |  |               |
| <b>Total:</b>                                                                                                                |  |               |

Signature:

Date:

---

Printed Name

I hereby certify that the information provided in this Application A and Annex I is true and correct, and I am aware that any applicant that obtains any incentive from the State of Tennessee by filing a knowingly false or fraudulent claim shall be liable to the State of Tennessee for reimbursement of all monies received. I acknowledge that the submission of this Form A does not in any way guarantee the receipt of any incentive funds.

SEND COMPLETED FORM A TO:  
Tennessee Entertainment Commission  
[tn.entertainment@tn.gov](mailto:tn.entertainment@tn.gov)



**Form A: ANNEX I  
Due Diligence Questionnaire**

Tennessee Entertainment Commission  
(615) 741-FILM (3456)  
[tn.entertainment@tn.gov](mailto:tn.entertainment@tn.gov)

|                                                                                                                                                                                                          |                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Full Name (First, Middle, & Last)                                                                                                                                                                        |                          | Position and Title                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Residence Address (Street/P.O. Box/City, State and Zip Code)                                                                                                                                             |                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Date of Birth                                                                                                                                                                                            | Telephone Number         | Email Address                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Check "Yes" or "No" for each of the following. Provide details on every "Yes" response on a separate sheet of paper. (No use of commas, "&" and any special characters in the file name upon submission) |                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| YES                                                                                                                                                                                                      | NO                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <input type="checkbox"/>                                                                                                                                                                                 | <input type="checkbox"/> | <b>Convictions:</b> Have you ever been convicted of, or entered a plea of no contest in, any criminal proceeding, or are you currently a defendant in any criminal proceeding, other than a minor traffic offense?                                                                                                                                                                                                                                                                 |
| <input type="checkbox"/>                                                                                                                                                                                 | <input type="checkbox"/> | <b>Taxes:</b> Do you currently owe past due taxes to any government entity, or have you ever been served a complaint, lien, judgment, or other notice filed with any public body regarding the payment of any tax required under federal state or local law?                                                                                                                                                                                                                       |
| <input type="checkbox"/>                                                                                                                                                                                 | <input type="checkbox"/> | <b>Corporate Bankruptcy:</b> Do you currently have, or have you ever had, an ownership interest in any business, or have you served as an officer or director of any business, which has ever been declared bankrupt by a court, or been the subject of a voluntary or involuntary filing of any type of bankruptcy or insolvency proceeding?                                                                                                                                      |
| <input type="checkbox"/>                                                                                                                                                                                 | <input type="checkbox"/> | <b>Litigation:</b> Do you presently, or have you ever been, a respondent/defendant in any civil or criminal litigation involving allegations of embezzlement, theft, forgery, bribery, falsification or destruction of records, dishonesty, deception, fraud, misrepresentation, civil conspiracy, breach of contract, unethical or unlawful business practices, false claims, securities law violations, or any other claim that may be relevant to determine business integrity? |

|                                                                                                                                                                                                                                                                                                                                                                          |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Confirmation of Accuracy</b></p> <p>To the best of my knowledge and belief, the information contained in this questionnaire is true and correct, as evidenced by my signature below. I further certify that the business entity is in good standing under the laws of the jurisdiction (s) in which the entity is organized or authorized to conduct business.</p> |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

Signature \_\_\_\_\_ Date \_\_\_\_\_

SEND COMPLETED ANNEX I TO:  
Tennessee Entertainment Commission  
[tn.entertainment@tn.gov](mailto:tn.entertainment@tn.gov)





Form C  
INCENTIVE APPLICATION

Tennessee Entertainment Commission  
(615) 741-FILM (3456)  
[tn.entertainment@tn.gov](mailto:tn.entertainment@tn.gov)

**PRODUCTION INFORMATION**

|                       |                                                                   |                            |
|-----------------------|-------------------------------------------------------------------|----------------------------|
| Production Title      | Type of Production (i.e. Feature film, Scripted Television, etc.) | Name of Production Company |
| Executive Producer(s) | Producer(s)                                                       | Director                   |

**PRODUCTION COMPANY HEADQUARTERS INFORMATION** (payment will be issued to this company)

|                                                                                                                                                                                                                   |                                        |                              |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------|------------------------------|
| Company Name                                                                                                                                                                                                      | Contact Name                           | Contact Title                |
| Contact E-mail Address                                                                                                                                                                                            | Contact Phone                          | Contact Fax                  |
| Company Address                                                                                                                                                                                                   | Company City, State, Zip               | Company Phone                |
| Company Website                                                                                                                                                                                                   | State where Incorporated or Registered | Federal Tax ID Number (FEIN) |
| Type of Entity (e.g. "C" or "S" Corporation, LLC, Partnership, Trust, etc.) Please attach a copy of last annual report filed                                                                                      |                                        |                              |
| Indicate if the production company is certified as minority-owned, women-owned, or service-disabled veteran owned:<br>(as defined in T.C.A. §12-3-801 through 808 and Public Chapter 1140 effective July 1, 2010) |                                        |                              |

**PRODUCTION FINANCIAL INFORMATION**

|                                                          |                                                             |                                                      |
|----------------------------------------------------------|-------------------------------------------------------------|------------------------------------------------------|
| Total Budget (entire project)                            | Total TN Expenditures (paid to TN residents & vendors)      |                                                      |
| Total TN Payroll (paid to TN residents)                  | Total TN Vendor Spend (paid to TN vendors, excluding music) | Total TN Music Amount (paid to TN residents/vendors) |
| Pre-Production Expenditures                              | Production Expenditures                                     | Post-Production Expenditures                         |
| Number of Episodes Filmed in TN (Television Series Only) |                                                             |                                                      |

**TENNESSEE CREW AND CAST INFORMATION**

|                                         |         |                                          |
|-----------------------------------------|---------|------------------------------------------|
| Total Crew                              | TN Crew | % TN Crew                                |
| Total Cast                              | TN Cast | % TN Cast                                |
| Average TN crew size (per day) for prep |         | Average TN crew size (per day) for shoot |

**TENNESSEE PRODUCTION SCHEDULE** (Attach additional pages if necessary)

| PERIOD          | TN START DATE | TN END DATE | NUMBER OF DAYS |
|-----------------|---------------|-------------|----------------|
| Pre-Production  |               |             |                |
| Production      |               |             |                |
| Post-Production |               |             |                |

**ADDITIONAL INFORMATION**

|                                                                                                                                                                                         |                                                                                                             |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| Date of Last Qualified Expenditure Incurred in TN                                                                                                                                       | Anticipated Release / Premiere Date                                                                         |
| The Production Will Premier in TN <input type="checkbox"/> YES <input type="checkbox"/> NO                                                                                              | Production has satisfied all financial obligations <input type="checkbox"/> YES <input type="checkbox"/> NO |
| Newspaper notice was posted at least once a week for 3 consecutive weeks in a local newspaper for each city filming took place <input type="checkbox"/> YES <input type="checkbox"/> NO |                                                                                                             |

**ATTACH THE FOLLOWING DOCUMENTS WITH YOUR APPLICATION (No use of commas, "&" and any special character in the file name)**

- ☐ Copy of your insurance policy for production, including agent, insurance company(s) and policy amounts
- ☐ AUP Report with CPA License and Peer Review
- ☐ Related Party Transaction Form with Bids (If applicable)
- ☐ Detailed, current plans for distribution, including name(s) of distributor(s) to the extent known
- ☐ Final Budget
- ☐ General ledger
- ☐ Total Payroll report (excluding/obscuring individual social security numbers)
- ☐ Certificate of Legal Existence from the Secretary of State
- ☐ Crew Call sheets
- ☐ List of All Tennessee Locations Used – include address and contact information
- ☐ Final Crew list – include address and contact information
- ☐ Final Vendor list – include address and contact information
- ☐ Copy of TN Driver's Licenses and TN Production Directory listing (Legible Copies Only)
- ☐ Copy of Newspaper Notices or Invoice
- ☐ At least one copy of the production (Due upon completion)
- ☐ At least five production still photos in an electronic format with rights cleared for promotional use (Due upon completion)
- ☐ If Applicable, At least one poster for promotion of the project (Feature films only. Due upon completion)

*I hereby certify that the information provided in this application is true and correct, and I am aware that any applicant that obtains incentives from the State of Tennessee by filing a knowingly false or fraudulent claim shall be liable to the State of Tennessee for reimbursement of all monies received. I understand that submission of an application does not in any way guarantee receipt of the incentive or that incentive funds will be available.*

---

 Signature

---

 Date

---

 Printed Name

---

 Title

**SEND COMPLETED FORM TO:**  
**Tennessee Entertainment Commission**  
**Email: [tn.entertainment@tn.gov](mailto:tn.entertainment@tn.gov)**



**Form D**  
**REQUEST FOR ADDITIONAL RESERVATION OF INCENTIVE FUNDS**

**Tennessee Entertainment Commission**  
(615) 741-FILM (3456)  
tn.entertainment@tn.gov

| <b>Part 1: General Information (No use of commas, "&amp;" and any special characters in the file name upon submission)</b> |                                       |                              |
|----------------------------------------------------------------------------------------------------------------------------|---------------------------------------|------------------------------|
| Name of Eligible Production Company (Applicant)                                                                            | Name of Person Completing Application | Title                        |
| E-mail Address                                                                                                             | Telephone Number                      | Fax                          |
| Company Address                                                                                                            | Company City, State, Zip              | Company Phone                |
| Website                                                                                                                    |                                       | Federal Tax ID Number (FEIN) |

| <b>Part 2: Reason for change to estimated TN Expenditures</b> |
|---------------------------------------------------------------|
|                                                               |
|                                                               |
|                                                               |
|                                                               |

| <b>Part 3: Revised Budget &amp; Additional Reservation of Funds</b> |                       |                        |                               |
|---------------------------------------------------------------------|-----------------------|------------------------|-------------------------------|
|                                                                     | <i>Form A Request</i> | <i>Revised Request</i> | <i>Additional Reservation</i> |
| Budget (entire project)                                             |                       |                        |                               |
| Total TN Expenditures                                               |                       |                        |                               |
| Anticipated Incentive                                               | \$ -                  | \$ -                   | \$ -                          |
| TN Wages:                                                           |                       |                        |                               |
| TN Vendor Spend:                                                    |                       |                        |                               |
| TN Music Spend:                                                     |                       |                        |                               |
| TN Pre-Production:                                                  |                       |                        |                               |
| TN Production Spend:                                                |                       |                        |                               |
| TN Post-Production Spend:                                           |                       |                        |                               |

**Part 4: Other Changes**

Please list any other changes to the information provided in Form A "REGISTRATION FOR CERTIFICATION OF CONDITIONAL ELIGIBILITY":

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|  |
|  |

Signature :

Date:

\_\_\_\_\_  
Printed Name

I hereby certify that the information provided in this Application D is true and correct, and I am aware that any applicant that obtains any incentive from the State of Tennessee by filing a knowingly false or fraudulent claim shall be liable to the State of Tennessee for reimbursement of all monies received. I acknowledge that the submission of this Application D does not in any way guarantee the receipt of any additional incentive funds.

SEND COMPLETED FORM TO:  
Tennessee Entertainment Commission  
tn.entertainment@tn.gov

| Tennessee Entertainment Commission |                                                                        |          |                                                                                                                                                                                         |
|------------------------------------|------------------------------------------------------------------------|----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Schedule of Qualified Expenditures |                                                                        |          |                                                                                                                                                                                         |
| Coding                             | Category                                                               | Eligible | Comments                                                                                                                                                                                |
| <b>101-00</b>                      | <b>STORY &amp; RIGHTS</b>                                              |          |                                                                                                                                                                                         |
| 101-02                             | Story Rights Option, Story Rights Purchase, Agents and Attorney's Fees | NO       |                                                                                                                                                                                         |
|                                    |                                                                        |          |                                                                                                                                                                                         |
| <b>103-00</b>                      | <b>WRITING</b>                                                         |          |                                                                                                                                                                                         |
| 103-02                             | Writers                                                                | YES      | Tennessee Resident labor only within contractual terms through payroll.                                                                                                                 |
| 103-04                             | Story Editor                                                           | YES      |                                                                                                                                                                                         |
| 103-06                             | Research                                                               | YES      |                                                                                                                                                                                         |
| 103-08                             | Admin                                                                  | YES      |                                                                                                                                                                                         |
| 103-10                             | Script Printing                                                        | YES      |                                                                                                                                                                                         |
| 103-12                             | Materials & Supplies                                                   | YES      |                                                                                                                                                                                         |
| 103-99                             | Fringes                                                                | YES      | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|                                    |                                                                        |          |                                                                                                                                                                                         |
| <b>105-00</b>                      | <b>PRODUCER &amp; STAFF</b>                                            |          |                                                                                                                                                                                         |
| 105-02                             | Executive Producer                                                     | NO       | Tennessee Resident Labor and Qualifying Non Resident Labor through Payroll                                                                                                              |
| 105-04                             | Line Producer                                                          | YES      |                                                                                                                                                                                         |
| 105-05                             | Technical Advisor                                                      | YES      |                                                                                                                                                                                         |
| 105-06                             | Producers                                                              | YES      |                                                                                                                                                                                         |
| 105-07                             | Director's Assistant                                                   | YES      |                                                                                                                                                                                         |
| 105-08                             | Associate Producers                                                    | YES      |                                                                                                                                                                                         |
| 105-10                             | Admin                                                                  | YES      |                                                                                                                                                                                         |
| 105-12                             | Assistants                                                             | YES      |                                                                                                                                                                                         |
| 105-14                             | Purchases and supplies                                                 | YES      |                                                                                                                                                                                         |
| 105-16                             | Wrap Party                                                             | NO       |                                                                                                                                                                                         |
| 105-99                             | Fringes                                                                | YES      | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|                                    |                                                                        |          |                                                                                                                                                                                         |
| <b>107-00</b>                      | <b>DIRECTOR &amp; STAFF</b>                                            |          |                                                                                                                                                                                         |
| 107-02                             | Director                                                               | YES      | Tennessee Resident Labor and Qualifying Non Resident Labor through Payroll                                                                                                              |
| 107-04                             | Dialogue Coach                                                         | YES      |                                                                                                                                                                                         |
| 107-06                             | Admin                                                                  | YES      |                                                                                                                                                                                         |
| 107-08                             | Choreographers                                                         | YES      |                                                                                                                                                                                         |
| 107-10                             | Assistants                                                             | YES      |                                                                                                                                                                                         |
| 107-12                             | Towncar Allowance                                                      | YES      | For travel to, from and within Tennessee if purchased from a Tennessee Vendor                                                                                                           |
| 107-14                             | Purchases and Supplies                                                 | YES      |                                                                                                                                                                                         |
| 107-16                             | Director Assistant Computer                                            | YES      |                                                                                                                                                                                         |
| 107/18                             | Director Office Rentals                                                | YES      |                                                                                                                                                                                         |
| 107-99                             | Fringes                                                                | YES      | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|                                    |                                                                        |          |                                                                                                                                                                                         |

| <u>Coding</u> | <u>Category</u>                                       | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                         |
|---------------|-------------------------------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>109-00</b> | <b>TALENT</b>                                         |                 |                                                                                                                                                                                         |
| 109-02        | Principal Cast                                        | YES             | Tennessee Resident Labor and Qualifying Non Resident Labor through Payroll                                                                                                              |
| 109-04        | Supporting Cast                                       | YES             |                                                                                                                                                                                         |
| 109-06        | Day Player                                            | YES             |                                                                                                                                                                                         |
| 109-08        | Weekly Player                                         | YES             |                                                                                                                                                                                         |
| 109-10        | Talent Staff                                          | YES             |                                                                                                                                                                                         |
| 109-12        | Talent Expenses                                       | YES             | Only for accountable expenses with proof the expense being incurred in Tennessee and purchased from a Tennessee vendor                                                                  |
| 109-14        | Stunt Coordinator                                     | YES             | Tennessee Resident Labor and Qualifying Non Resident Labor through Payroll                                                                                                              |
| 109-16        | Stunts                                                | YES             |                                                                                                                                                                                         |
| 109-18        | Looping and Expenses                                  | YES             |                                                                                                                                                                                         |
| 109-20        | Casting Director                                      | YES             | Tennessee Resident Labor and Qualifying Non Resident Labor through Payroll                                                                                                              |
| 109-22        | Casting Assistants                                    | YES             |                                                                                                                                                                                         |
| 109-24        | Casting Office Expenses                               | YES             |                                                                                                                                                                                         |
| 109-99        | Fringes                                               | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                                       |                 |                                                                                                                                                                                         |
| <b>111-00</b> | <b>TRAVEL &amp; LIVING Above &amp; Below the Line</b> |                 |                                                                                                                                                                                         |
| 111-02        | Travel                                                | YES             | Travel to/from/within the state of Tennessee, purchased through a Tennessee based vendor, company, or person subject to taxation in this State. Excludes private/charter flights.       |
| 111-04        | Living                                                | YES             | If related expenses are incurred in Tennessee and paid to a Tennessee based vendor, company, or person subject to taxation in this State.                                               |
|               |                                                       |                 |                                                                                                                                                                                         |
| <b>112-00</b> | <b>FRINGE BENEFITS</b>                                |                 |                                                                                                                                                                                         |
| 112-02        | Pension Plan & Health and Welfare                     | YES             | For Tennessee Resident labor only                                                                                                                                                       |
| 112-04        | Employer Taxes                                        | NO              |                                                                                                                                                                                         |
| 112-06        | Local Hire Fringes                                    | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
| 112-08        | Payroll Handling                                      | YES             | If related expenses are incurred in Tennessee and paid to a Tennessee based vendor, company, or person subject to taxation in this State.                                               |
|               |                                                       |                 |                                                                                                                                                                                         |

| <u>Coding</u>     | <u>Category</u>                 | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                         |
|-------------------|---------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRODUCTION</b> |                                 |                 |                                                                                                                                                                                         |
|                   |                                 |                 |                                                                                                                                                                                         |
| <b>113-00</b>     | <b>PRODUCTION STAFF</b>         |                 |                                                                                                                                                                                         |
| 113-02            | Production Manager              | YES             | Tennessee Resident Labor and Qualifying Non Resident Labor through Payroll                                                                                                              |
| 113-04            | Production Supervisor           | YES             |                                                                                                                                                                                         |
| 113-06            | First Assistant Director        | YES             |                                                                                                                                                                                         |
| 113-08            | Second AD's and Trainees        | YES             |                                                                                                                                                                                         |
| 113-10            | Script Supervisor               | YES             |                                                                                                                                                                                         |
| 113-12            | Location Manager                | YES             |                                                                                                                                                                                         |
| 113-14            | Asst Location Managers & Scouts | YES             |                                                                                                                                                                                         |
| 113-16            | Tech Advisors                   | YES             |                                                                                                                                                                                         |
| 113-18            | Production Coordinators         | YES             |                                                                                                                                                                                         |
| 113-20            | Asst Production Coordinators    | YES             |                                                                                                                                                                                         |
| 113-22            | Production Admin                | YES             |                                                                                                                                                                                         |
| 113-24            | Production Accountants          | YES             |                                                                                                                                                                                         |
| 113-26            | Assistant Accountants           | YES             |                                                                                                                                                                                         |
| 113-28            | Payroll                         | YES             |                                                                                                                                                                                         |
| 113-30            | Construction Estimator          | YES             |                                                                                                                                                                                         |
| 113-32            | Post Accounting                 | YES             |                                                                                                                                                                                         |
| 113-34            | Production Assistants           | YES             |                                                                                                                                                                                         |
| 113-36            | Pre-Production Breakdown        | YES             |                                                                                                                                                                                         |
| 113-38            | Board & Budget                  | YES             | If related expenses are incurred in Tennessee and paid to a Tennessee based vendor, company, or person subject to taxation in this State.                                               |
| 113-40            | Script Timing                   | YES             | Tennessee Resident labor only                                                                                                                                                           |
| 113-42            | POC and Assistants              | YES             | Tennessee Resident Labor and Qualifying Non Resident Labor through Payroll                                                                                                              |
| 113-99            | Fringes                         | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|                   |                                 |                 |                                                                                                                                                                                         |
| <b>115-00</b>     | <b>EXTRA TALENT</b>             |                 |                                                                                                                                                                                         |
| 115-02            | Stand ins                       | YES             | Tennessee Resident Labor and Qualifying Non Resident Labor through Payroll                                                                                                              |
| 115-04            | Casting Commission              | YES             |                                                                                                                                                                                         |
| 115-06            | Extras-Studio                   | YES             |                                                                                                                                                                                         |
| 115-08            | Non Union                       | YES             |                                                                                                                                                                                         |
| 115-10            | Extras-Location                 | YES             |                                                                                                                                                                                         |
| 115-12            | Non Union -                     | YES             |                                                                                                                                                                                         |
| 115-14            | Sideline Musicians              | YES             |                                                                                                                                                                                         |
| 115-16            | Fittings                        | YES             |                                                                                                                                                                                         |
| 115-18            | Wardrobe                        | YES             |                                                                                                                                                                                         |
| 115-20            | Atmosphere Cars                 | YES             |                                                                                                                                                                                         |
| 115-22            | Casting Svc Fee and Fringes     | YES             | For casting services performed within Tennessee by a Tennessee Vendor and fringes related to Tennessee Resident labor only                                                              |
| 115-24            | Polaroid                        | YES             |                                                                                                                                                                                         |
| 115-26            | Telephone/Office                | YES             |                                                                                                                                                                                         |
| 115-99            | Fringes                         | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|                   |                                 |                 |                                                                                                                                                                                         |

| <u>Coding</u> | <u>Category</u>                                   | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                                                       |
|---------------|---------------------------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>117-00</b> | <b>CAMERA</b>                                     |                 |                                                                                                                                                                                                                       |
| 117-02        | Director of Photography                           | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                                                            |
| 117-04        | Operator                                          | YES             |                                                                                                                                                                                                                       |
| 117-06        | Asst Cameramen & Operators                        | YES             |                                                                                                                                                                                                                       |
| 117-08        | Steadicam Operator                                | YES             |                                                                                                                                                                                                                       |
| 117-10        | Still Photographer                                | YES             |                                                                                                                                                                                                                       |
| 117-12        | Loader                                            | YES             |                                                                                                                                                                                                                       |
| 117-14        | Loss and Damage                                   | YES             |                                                                                                                                                                                                                       |
| 117-16        | Purchases & Supplies                              | YES             |                                                                                                                                                                                                                       |
| 117-18        | Camera Rentals                                    | YES             |                                                                                                                                                                                                                       |
| 117-20        | Box and Still Camera Rentals                      | YES             | If rented from a Tennessee Resident or a Tennessee Vendor                                                                                                                                                             |
| 117-99        | Fringes                                           | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.)                               |
|               |                                                   |                 |                                                                                                                                                                                                                       |
| <b>119-00</b> | <b>ART DEPARTMENT</b>                             |                 |                                                                                                                                                                                                                       |
| 119-02        | Production Designer                               | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                                                            |
| 119-04        | Art Director and Assistants                       | YES             |                                                                                                                                                                                                                       |
| 119-06        | Set Designers                                     | YES             |                                                                                                                                                                                                                       |
| 119-08        | Illustrators                                      | YES             |                                                                                                                                                                                                                       |
| 119-10        | Local Hire                                        | YES             |                                                                                                                                                                                                                       |
| 119-12        | Storyboard Artist                                 | YES             |                                                                                                                                                                                                                       |
| 119-14        | Prod. Assistants                                  | YES             |                                                                                                                                                                                                                       |
| 119-16        | Blue Printing                                     | YES             |                                                                                                                                                                                                                       |
| 119-18        | Stock Units / Backings                            | YES             |                                                                                                                                                                                                                       |
| 119-20        | Purchases & Supplies                              | YES             |                                                                                                                                                                                                                       |
| 119-22        | Processing                                        | YES             |                                                                                                                                                                                                                       |
| 119-24        | Research Materials                                | YES             |                                                                                                                                                                                                                       |
| 119-26        | Rentals                                           | YES             |                                                                                                                                                                                                                       |
| 119-28        | Equipment                                         | YES             | For assets with a cost over \$5,000, the amount is limited to the net cost of the asset purchases less sales proceeds to 50% of the purchases price, whichever is less (unless the asset is destroyed in production). |
| 119-30        | Car and Box Rentals                               | YES             | If rented from a Tennessee Resident or a Tennessee Vendor                                                                                                                                                             |
| 119-99        | Fringes                                           | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.)                               |
|               |                                                   |                 |                                                                                                                                                                                                                       |
| <b>121-00</b> | <b>SET CONSTRUCTION</b>                           |                 |                                                                                                                                                                                                                       |
| 121-02        | Construction Coordinators                         | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                                                            |
| 121-04        | Construction Foremen                              | YES             |                                                                                                                                                                                                                       |
| 121-06        | Stage Set Construction Labor                      | YES             |                                                                                                                                                                                                                       |
| 121-08        | Location Set Construction Labor                   | YES             |                                                                                                                                                                                                                       |
| 121-10        | Stage Set Construction Materials Purchase         | YES             |                                                                                                                                                                                                                       |
| 121-12        | Location Set Construction Materials Purchase      | YES             |                                                                                                                                                                                                                       |
| 121-14        | Stage Set Striking Labor                          | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                                                            |
| 121-16        | Stage Set Striking Materials Purchase and Rentals | YES             |                                                                                                                                                                                                                       |
| 121-18        | Location Set Striking Labor                       | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                                                            |
| 121-20        | Location Set Striking Materials Purchase          | YES             |                                                                                                                                                                                                                       |



| <b>Coding</b> | <b>Category</b>                 | <b>Eligible</b> | <b>Comments</b>                                                                                                                                                                                                       |
|---------------|---------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 121-22        | Set Restoration                 | YES             |                                                                                                                                                                                                                       |
| 121-24        | Fold and Hold Sets              | YES             |                                                                                                                                                                                                                       |
| 121-26        | Greens Purchase                 | YES             |                                                                                                                                                                                                                       |
| 121-28        | Backings Rental/Purchase        | YES             |                                                                                                                                                                                                                       |
| 121-30        | Trash Removal                   | YES             |                                                                                                                                                                                                                       |
| 121-32        | Scissor Lifts/Forklifts         | YES             |                                                                                                                                                                                                                       |
| 121-34        | Car and Box Rental              | YES             | If rented from a Tennessee Resident or a Tennessee Vendor                                                                                                                                                             |
| 121-36        | Construction Expendables        | YES             |                                                                                                                                                                                                                       |
| 121-99        | Fringes                         | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.)                               |
|               |                                 |                 |                                                                                                                                                                                                                       |
| <b>123-00</b> | <b>SPECIAL EFFECTS</b>          |                 |                                                                                                                                                                                                                       |
| 123-02        | SFX Coordinator                 | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                                                            |
| 123-04        | SFX Assistants                  | YES             |                                                                                                                                                                                                                       |
| 123-06        | Rig and Strike                  | YES             |                                                                                                                                                                                                                       |
| 123-08        | Loss and Damage                 | YES             |                                                                                                                                                                                                                       |
| 123-10        | Manufacturing Labor & Materials | YES             | Labor: Tennessee Resident labor only. Materials: If purchased from a Tennessee Vendor                                                                                                                                 |
| 123-12        | Purchases                       | YES             |                                                                                                                                                                                                                       |
| 123-14        | Equipment Rentals               | YES             |                                                                                                                                                                                                                       |
| 123-16        | Box Rental                      | YES             | If rented from a Tennessee Resident or a Tennessee Vendor                                                                                                                                                             |
| 123-99        | Fringes                         | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.)                               |
|               |                                 |                 |                                                                                                                                                                                                                       |
|               |                                 |                 |                                                                                                                                                                                                                       |
| <b>125-00</b> | <b>SET OPERATIONS</b>           |                 |                                                                                                                                                                                                                       |
| 125-02        | Key Grip                        | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                                                            |
| 125-04        | Grips -- all                    | YES             |                                                                                                                                                                                                                       |
| 125-06        | Craft Service Persons           | YES             |                                                                                                                                                                                                                       |
| 125-08        | Greens Person- Company          | YES             |                                                                                                                                                                                                                       |
| 125-10        | Stand By Carpenters             | YES             |                                                                                                                                                                                                                       |
| 125-12        | Stand By Painters               | YES             |                                                                                                                                                                                                                       |
| 125-14        | Loss and Damage                 | YES             |                                                                                                                                                                                                                       |
| 125-16        | Set Watch/Fireman               | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                                                            |
| 125-18        | First Aid & Expenses            | YES             |                                                                                                                                                                                                                       |
| 125-20        | Medics                          | YES             |                                                                                                                                                                                                                       |
| 125-22        | Other Crafts                    | YES             |                                                                                                                                                                                                                       |
| 125-24        | Heating/Air Conditioning        | YES             |                                                                                                                                                                                                                       |
| 125-26        | Purchases                       | YES             |                                                                                                                                                                                                                       |
| 125-28        | Grip Expendables                | YES             |                                                                                                                                                                                                                       |
| 125-30        | Lumber                          | YES             |                                                                                                                                                                                                                       |
| 125-32        | Craft Service Purchases         | YES             |                                                                                                                                                                                                                       |
| 125-34        | Rentals                         | YES             |                                                                                                                                                                                                                       |
| 125-36        | Grip Package                    | YES             |                                                                                                                                                                                                                       |
| 125-38        | Truck Package                   | YES             |                                                                                                                                                                                                                       |
| 125-40        | Additional Equipment            | YES             | For assets with a cost over \$5,000, the amount is limited to the net cost of the asset purchases less sales proceeds to 50% of the purchases price, whichever is less (unless the asset is destroyed in production). |

| <u>Coding</u> | <u>Category</u>                     | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                                                       |
|---------------|-------------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 125-42        | Helicopter Rental                   | YES             |                                                                                                                                                                                                                       |
| 125-44        | Box Rentals                         | YES             | If rented from a Tennessee Resident or a Tennessee Vendor                                                                                                                                                             |
| 125-99        | Fringes                             | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.)                               |
|               |                                     |                 |                                                                                                                                                                                                                       |
| <b>127-00</b> | <b>ELECTRICAL</b>                   |                 |                                                                                                                                                                                                                       |
| 127-02        | Chief Lighting Technician           | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                                                            |
| 127-04        | Lighting Assistant and Technicians  | YES             |                                                                                                                                                                                                                       |
| 127-06        | Rig and Strike                      | YES             |                                                                                                                                                                                                                       |
| 127-08        | Generator Operator                  | YES             |                                                                                                                                                                                                                       |
| 127-10        | Generator Assistants                | YES             |                                                                                                                                                                                                                       |
| 127-12        | Special Equipment Operator          | YES             |                                                                                                                                                                                                                       |
| 127-14        | Electric Hookup                     | YES             |                                                                                                                                                                                                                       |
| 127-16        | Current                             | YES             |                                                                                                                                                                                                                       |
| 127-18        | Loss and Damage                     | YES             |                                                                                                                                                                                                                       |
| 127-20        | Purchases-- Expendables, Gels, Etc. | YES             |                                                                                                                                                                                                                       |
| 127-22        | Globes and Carbons                  | YES             |                                                                                                                                                                                                                       |
| 127-24        | Rentals                             | YES             |                                                                                                                                                                                                                       |
| 127-26        | Electric Package                    | YES             |                                                                                                                                                                                                                       |
| 127-28        | Stage Package                       | YES             |                                                                                                                                                                                                                       |
| 127-30        | Rigging Package                     | YES             |                                                                                                                                                                                                                       |
| 127-32        | Add'l Equipment                     | YES             | For assets with a cost over \$5,000, the amount is limited to the net cost of the asset purchases less sales proceeds to 50% of the purchases price, whichever is less (unless the asset is destroyed in production). |
| 127-34        | Specialty Lighting                  | YES             |                                                                                                                                                                                                                       |
| 127-36        | Generator Rentals                   | YES             |                                                                                                                                                                                                                       |
| 127-38        | Box Rentals                         | YES             | If rented from a Tennessee Resident or a Tennessee Vendor                                                                                                                                                             |
| 127-99        | Fringes                             | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.)                               |
|               |                                     |                 |                                                                                                                                                                                                                       |
| <b>129-00</b> | <b>SET DRESSING</b>                 |                 |                                                                                                                                                                                                                       |
| 129-02        | Set Decorator                       | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                                                            |
| 129-04        | Leadman/Buyer                       | YES             |                                                                                                                                                                                                                       |
| 129-05        | Kit Rental                          | YES             | If rented from a Tennessee Resident or a Tennessee Vendor                                                                                                                                                             |
| 129-06        | Set Dressing Labor                  | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                                                            |
| 129-08        | Drapery/Carpet                      | YES             |                                                                                                                                                                                                                       |
| 129-10        | Loss, Damage                        | YES             |                                                                                                                                                                                                                       |
| 129-12        | Manufacturing/Materials             | YES             |                                                                                                                                                                                                                       |
| 129-14        | Set Dress Purchase & Materials      | YES             |                                                                                                                                                                                                                       |
| 129-16        | Fixtures                            | YES             |                                                                                                                                                                                                                       |
| 129-18        | Rentals                             | YES             |                                                                                                                                                                                                                       |
| 129-20        | Rentals - All Sets                  | YES             |                                                                                                                                                                                                                       |
| 129-22        | Car and Box Rentals                 | YES             |                                                                                                                                                                                                                       |
| 129-24        | Research                            | YES             |                                                                                                                                                                                                                       |
| 129-26        | Film Processing                     | YES             |                                                                                                                                                                                                                       |
| 129-28        | Expendables                         | YES             |                                                                                                                                                                                                                       |
| 129-99        | Fringes                             | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.)                               |
| 129-100       | Cleaning                            | YES             |                                                                                                                                                                                                                       |
|               |                                     |                 |                                                                                                                                                                                                                       |
| <b>131-00</b> | <b>ACTION PROPS</b>                 |                 |                                                                                                                                                                                                                       |
| 131-02        | Prop Master                         | YES             | Tennessee Resident labor and Quaifying Non Resident Labor                                                                                                                                                             |
| 131-04        | Assistant Prop Master & Labor       | YES             |                                                                                                                                                                                                                       |
| 131-05        | Kit Rental                          | YES             | If rented from a Tennessee Resident or a Tennessee Vendor                                                                                                                                                             |
| 131-06        | Loss and Damage                     | YES             |                                                                                                                                                                                                                       |
| 131-08        | Manufacturing Labor/Materials       | YES             |                                                                                                                                                                                                                       |

| <u>Coding</u> | <u>Category</u>                 | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                         |
|---------------|---------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 131-10        | Purchases & Rentals             | YES             |                                                                                                                                                                                         |
| 131-12        | Car and Box Rentals             | YES             |                                                                                                                                                                                         |
| 131-15        | Film Processing                 | YES             |                                                                                                                                                                                         |
| 131-16        | Research                        | YES             |                                                                                                                                                                                         |
| 131-18        | Expendables                     | YES             |                                                                                                                                                                                         |
| 131-99        | Fringes                         | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                 |                 |                                                                                                                                                                                         |
| <b>133-00</b> | <b>PICTURE VEHICLES/ANIMALS</b> |                 |                                                                                                                                                                                         |
| 133-02        | Picture Car Coordinator         | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 133-04        | Picture Car Drivers             | YES             |                                                                                                                                                                                         |
| 133-06        | Picture Car Rentals             | YES             |                                                                                                                                                                                         |
| 133-08        | Picture Car Expense             | YES             |                                                                                                                                                                                         |
| 133-10        | Marine Expense                  | YES             |                                                                                                                                                                                         |
| 133-12        | Aircraft/Helicopter Expense     | YES             |                                                                                                                                                                                         |
| 133-14        | Pic Vehicle Manufacturing       | YES             |                                                                                                                                                                                         |
| 133-16        | Mechanic                        | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 133-18        | Animals                         | YES             |                                                                                                                                                                                         |
| 133-20        | Loss & Damage                   | YES             |                                                                                                                                                                                         |
| 133-22        | Wranglers, Handlers             | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 133-24        | Feeding and Stabling            | YES             |                                                                                                                                                                                         |
| 133-99        | Fringes                         | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                 |                 |                                                                                                                                                                                         |
| <b>135-00</b> | <b>SPECIAL PHOTOGRAPHY</b>      |                 |                                                                                                                                                                                         |
| 135-02        | Process Operating               | YES             |                                                                                                                                                                                         |
| 135-04        | Blue Screen                     | YES             |                                                                                                                                                                                         |
| 135-06        | Matte Shots Contract            | YES             |                                                                                                                                                                                         |
| 135-08        | Matte Crew Expenses             | YES             |                                                                                                                                                                                         |
| 135-10        | Animation                       | YES             |                                                                                                                                                                                         |
| 135-12        | Miniature Contact               | YES             |                                                                                                                                                                                         |
| 135-14        | Miniature Expenses              | YES             |                                                                                                                                                                                         |
| 135-16        | Computer Graphics               | YES             |                                                                                                                                                                                         |
| 135-18        | Equipment Rental                | YES             |                                                                                                                                                                                         |
| 135-99        | Fringes                         | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                 |                 |                                                                                                                                                                                         |

| <u>Coding</u> | <u>Category</u>                  | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                         |
|---------------|----------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>139-00</b> | <b>WARDROBE</b>                  |                 |                                                                                                                                                                                         |
| 139-02        | Costume Designer                 | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 139-04        | Designer Staff                   | YES             |                                                                                                                                                                                         |
| 139-06        | Wardrobe Labor                   | YES             |                                                                                                                                                                                         |
| 139-08        | Costumers & Assts.               | YES             |                                                                                                                                                                                         |
| 139-10        | Cleaning and Dying               | YES             |                                                                                                                                                                                         |
| 139-11        | Kit Rental                       | YES             | If rented from a Tennessee Resident or a Tennessee Vendor                                                                                                                               |
| 139-12        | Loss and Damage                  | YES             |                                                                                                                                                                                         |
| 139-14        | Alterations & Repairs            | YES             |                                                                                                                                                                                         |
| 139-16        | Allowance                        | YES             |                                                                                                                                                                                         |
| 139-18        | Purchases & Rentals              | YES             |                                                                                                                                                                                         |
| 139-20        | Car and Box Rentals              | YES             |                                                                                                                                                                                         |
| 139-22        | Research                         | YES             | During Production and within contractual agreement                                                                                                                                      |
| 139-24        | Expendables                      | YES             |                                                                                                                                                                                         |
| 139-26        | Washing Machine & Dryer          | YES             |                                                                                                                                                                                         |
| 139-28        | Shop Set Up                      | YES             |                                                                                                                                                                                         |
| 139-30        | Polaroid                         | YES             |                                                                                                                                                                                         |
| 139-99        | Fringes                          | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                  |                 |                                                                                                                                                                                         |
| <b>141-00</b> | <b>MAKEUP &amp; HAIRDRESSING</b> |                 |                                                                                                                                                                                         |
| 141-02        | Makeup Artist                    | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 141-04        | Key Makeup                       | YES             |                                                                                                                                                                                         |
| 141-06        | Additional Makeup                | YES             |                                                                                                                                                                                         |
| 141-08        | Additional Hairstylists          | YES             |                                                                                                                                                                                         |
| 141-10        | Makeup & Hairdressing Supplies   | YES             |                                                                                                                                                                                         |
| 141-12        | Chair Rental                     | YES             |                                                                                                                                                                                         |
| 141-14        | Wigs Purchase/Rentals            | YES             |                                                                                                                                                                                         |
| 141-16        | Appliances                       | YES             |                                                                                                                                                                                         |
| 141-18        | Box Rentals                      | YES             | If rented from a Tennessee Resident or a Tennessee Vendor                                                                                                                               |
| 141-99        | Fringes                          | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                  |                 |                                                                                                                                                                                         |
| <b>143-00</b> | <b>PRODUCTION SOUND</b>          |                 |                                                                                                                                                                                         |
| 143-02        | Mixer                            | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 143-04        | Boom Operator                    | YES             |                                                                                                                                                                                         |
| 143-06        | Additional Labor Sound           | YES             |                                                                                                                                                                                         |
| 143-08        | Loss and Damage                  | YES             |                                                                                                                                                                                         |
| 143-10        | Purchases                        | YES             |                                                                                                                                                                                         |
| 143-12        | Rentals                          | YES             |                                                                                                                                                                                         |
| 143-14        | Sound Package                    | YES             |                                                                                                                                                                                         |
| 143-16        | Add'l Equipment                  | YES             |                                                                                                                                                                                         |
| 143-18        | Walkie Talkies                   | YES             |                                                                                                                                                                                         |
| 143-20        |                                  |                 |                                                                                                                                                                                         |
| 143-22        | Box Rental                       | YES             | If rented from a Tennessee Resident or a Tennessee Vendor                                                                                                                               |
| 143-99        | Fringes                          | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                  |                 |                                                                                                                                                                                         |

| <u>Coding</u> | <u>Category</u>             | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                         |
|---------------|-----------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>145-00</b> | <b>LOCATIONS</b>            |                 |                                                                                                                                                                                         |
| 145-02        | Site Fees and Rentals       | YES             |                                                                                                                                                                                         |
| 145-04        | Police/Firemen/Watchmen     | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 145-06        | Set Security                | YES             |                                                                                                                                                                                         |
| 145-08        | Scouting                    | YES             |                                                                                                                                                                                         |
| 145-10        | Travel Fares                | YES             | Travel to/from/within the state of Tennessee, purchased through a Tennessee based vendor, company, or person subject to taxation in this State. Excludes private/charter flights.       |
| 145-12        | Airfare Rates               | YES             | Travel to/from/within the state of Tennessee, purchased through a Tennessee based vendor, company, or person subject to taxation in this State. Excludes private/charter flights.       |
| 145-14        | Hotels                      | YES             |                                                                                                                                                                                         |
| 145-16        | Per Diems                   | YES             | Housing (in-state), living allowances and per diems paid to Tennessee Residents and non-residents related to services performed in Tennessee                                            |
| 145-18        | Meals                       | YES             |                                                                                                                                                                                         |
| 145-20        | Extras Catering             | YES             |                                                                                                                                                                                         |
| 145-22        | Office Production           | YES             |                                                                                                                                                                                         |
| 145-24        | Catering Assistants         | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 145-28        | Film Shipping               | YES             |                                                                                                                                                                                         |
| 145-30        | Shipping Negative           | YES             |                                                                                                                                                                                         |
| 145-32        | Baggage/Equipment Shipping  | YES             |                                                                                                                                                                                         |
| 145-34        | Mileage and Parking         | YES             |                                                                                                                                                                                         |
| 145-36        | Location Restoration        | YES             |                                                                                                                                                                                         |
| 145-38        | Purchases                   | YES             |                                                                                                                                                                                         |
| 145-40        | Office Supplies & Equipment | YES             | The amount is limited to the net cost of the asset purchases less sales proceeds to 20% of the purchased price, whichever is less (unless the asset is destroyed in production).        |
| 145-42        | Rentals                     | YES             |                                                                                                                                                                                         |
| 145-44        | Office Space                | YES             |                                                                                                                                                                                         |
| 145-46        | Utilities                   | YES             |                                                                                                                                                                                         |
| 145-48        | Cleaning                    | YES             |                                                                                                                                                                                         |
| 145-50        | Art Dept Office             | YES             |                                                                                                                                                                                         |
| 145-52        | Set Dec/Props Warehouse     | YES             |                                                                                                                                                                                         |
| 145-54        | Construction Mill           | YES             |                                                                                                                                                                                         |
| 145-56        | Telephone/Postage           | YES             |                                                                                                                                                                                         |
| 145-58        | Install Phone Systems       | YES             |                                                                                                                                                                                         |
| 145-60        | Phone Charges               | YES             |                                                                                                                                                                                         |
| 145-62        | Cell Charges                | NO              |                                                                                                                                                                                         |
| 145-64        | Office Equipment Rental     | YES             |                                                                                                                                                                                         |
| 145-99        | Fringes                     | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                             |                 |                                                                                                                                                                                         |
|               |                             |                 |                                                                                                                                                                                         |

| <u>Coding</u> | <u>Category</u>              | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                         |
|---------------|------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>147-00</b> | <b>VIDEO</b>                 |                 |                                                                                                                                                                                         |
| 147-02        | Supervision                  | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 147-04        | Technical Director           | YES             |                                                                                                                                                                                         |
| 147-06        | Video Operator               | YES             |                                                                                                                                                                                         |
| 147-08        | Video Recordist              | YES             |                                                                                                                                                                                         |
| 147-10        | Additional labor             | YES             |                                                                                                                                                                                         |
| 147-12        | Purchases                    | YES             |                                                                                                                                                                                         |
| 147-14        | Supplies                     | YES             |                                                                                                                                                                                         |
| 147-16        | Rentals                      | YES             |                                                                                                                                                                                         |
| 147-18        | Video Assist Package         | YES             |                                                                                                                                                                                         |
| 147-22        | Video Transfers              | YES             |                                                                                                                                                                                         |
| 147-24        | Video Editing                | YES             |                                                                                                                                                                                         |
| 147-26        | Video Contact                | YES             |                                                                                                                                                                                         |
| 147-99        | Fringes                      | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                              |                 |                                                                                                                                                                                         |
| <b>149-00</b> | <b>TRANSPORTATION</b>        |                 |                                                                                                                                                                                         |
| 149-02        | Transportation Coordinator   | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 149-04        | Captains                     | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 149-06        | Studio Drivers               | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 149-08        | Location Drivers             | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 149-10        | Loss and Damage              | YES             |                                                                                                                                                                                         |
| 149-12        | Repairs/Maintenance          | YES             |                                                                                                                                                                                         |
| 149-14        | Box Rental                   | YES             | If rented from a Tennessee Resident or a Tennessee Vendor                                                                                                                               |
| 149-16        | Car Wash                     | YES             |                                                                                                                                                                                         |
| 149-18        | Pickup Service               | YES             | Travel to/from/within the state of Tennessee, purchased through a Tennessee based vendor, company, or person subject to taxation in this State. Excludes private/charter flights.       |
| 149-20        | Taxis                        | YES             | Travel to/from/within the state of Tennessee, purchased through a Tennessee based vendor, company, or person subject to taxation in this State. Excludes private/charter flights.       |
| 149-22        | Car Pickups                  | YES             |                                                                                                                                                                                         |
| 149-24        | Gas and Oil                  | YES             |                                                                                                                                                                                         |
| 149-26        | Genny Gas & Oil              | YES             |                                                                                                                                                                                         |
| 149-28        | Office Production            | YES             |                                                                                                                                                                                         |
| 149-30        | Tolls and Road Permits       | YES             |                                                                                                                                                                                         |
| 149-32        | Purchases                    | YES             |                                                                                                                                                                                         |
| 149-34        | Honey Wagon Supplies         | YES             |                                                                                                                                                                                         |
| 149-36        | Studio Vehicles              | YES             |                                                                                                                                                                                         |
| 149-38        | Production Trucks & Vehicles | YES             |                                                                                                                                                                                         |
| 149-40        | Location Vehicles            | YES             |                                                                                                                                                                                         |
| 149-42        | Cranes                       | YES             |                                                                                                                                                                                         |
| 149-44        | Insert Car                   | YES             |                                                                                                                                                                                         |
| 149-46        | Camera Cars                  | YES             |                                                                                                                                                                                         |
| 149-99        | Fringes                      | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                              |                 |                                                                                                                                                                                         |

| <u>Coding</u> | <u>Category</u>                  | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                         |
|---------------|----------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>151-00</b> | <b>PRODUCTION FILM &amp; LAB</b> |                 |                                                                                                                                                                                         |
| 151-02        | Raw Stock                        | YES             |                                                                                                                                                                                         |
| 151-04        | Steadicam                        | YES             |                                                                                                                                                                                         |
| 151-06        | Negative Develop                 | YES             |                                                                                                                                                                                         |
| 151-08        | Develop (90%)                    | YES             |                                                                                                                                                                                         |
| 151-10        | Positive Printing                | YES             |                                                                                                                                                                                         |
| 151-12        | 1/4" Sound Tape                  | YES             |                                                                                                                                                                                         |
| 151-14        | Sound Transfers                  | YES             |                                                                                                                                                                                         |
| 151-16        | Video Cassette Dailies           | YES             |                                                                                                                                                                                         |
| 151-18        | Telecine Transfers               | YES             |                                                                                                                                                                                         |
| 151-20        | Polaroid - All Departments       | YES             |                                                                                                                                                                                         |
|               |                                  |                 |                                                                                                                                                                                         |
| <b>153-00</b> | <b>TESTS</b>                     |                 |                                                                                                                                                                                         |
| 153-02        | Talent                           | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 153-04        | Labor                            | YES             |                                                                                                                                                                                         |
| 153-06        | Purchases                        | YES             |                                                                                                                                                                                         |
| 153-08        | Rentals                          | YES             |                                                                                                                                                                                         |
| 153-10        | Film                             | YES             |                                                                                                                                                                                         |
| 153-99        | Fringes                          | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                  |                 |                                                                                                                                                                                         |
|               |                                  |                 |                                                                                                                                                                                         |
| <b>155-00</b> | <b>FACILITY EXPENSES</b>         |                 |                                                                                                                                                                                         |
| 155-02        | Studio Telephone                 | YES             |                                                                                                                                                                                         |
| 155-04        | Studio Phone Charges             | YES             |                                                                                                                                                                                         |
| 155-06        | Post Phone Charges               | YES             |                                                                                                                                                                                         |
| 155-08        | Postage and Messengers           | YES             |                                                                                                                                                                                         |
| 155-10        | Studio Shipping/Messengers       | YES             |                                                                                                                                                                                         |
| 155-12        | Outside Facility                 | YES             |                                                                                                                                                                                         |
| 155-14        | Stage Use / Licensing Agreement  | YES             |                                                                                                                                                                                         |
| 155-16        | Stage Includes Power/Security    | YES             |                                                                                                                                                                                         |
| 155-18        | Prep/Strike                      | YES             |                                                                                                                                                                                         |
| 155-20        | Shoot                            | YES             |                                                                                                                                                                                         |
| 155-22        | Power                            | YES             |                                                                                                                                                                                         |
| 155-24        | Backlot Rental                   | YES             |                                                                                                                                                                                         |
| 155-26        | Dressing Room Rental             | YES             |                                                                                                                                                                                         |
| 155-28        | Parking Space Rental             | YES             |                                                                                                                                                                                         |
| 155-30        | Prep - Parking                   | YES             |                                                                                                                                                                                         |
| 155-32        | Shoot - Parking                  | YES             |                                                                                                                                                                                         |
| 155-34        | Other Studio Facilities          | YES             |                                                                                                                                                                                         |
| 155-36        | Studio Personnel Charges         | YES             |                                                                                                                                                                                         |
| 155-38        | Dumpsters, Cleaning              | YES             |                                                                                                                                                                                         |
|               |                                  |                 |                                                                                                                                                                                         |
| <b>156-00</b> | <b>AUDIENCE RELATIONS</b>        |                 |                                                                                                                                                                                         |
| 156-02        | Audience                         | YES             |                                                                                                                                                                                         |
| 156-04        | Talent                           | YES             |                                                                                                                                                                                         |
| 156-06        | Bleachers/Drapes                 | YES             |                                                                                                                                                                                         |
| 156-08        | Food/Drink                       | YES             | Alcohol is explicitly excluded                                                                                                                                                          |

| <u>Coding</u> | <u>Category</u>                   | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                         |
|---------------|-----------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 156-10        | Transport                         | YES             |                                                                                                                                                                                         |
| 156-99        | Fringes                           | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                   |                 |                                                                                                                                                                                         |
| <b>157-00</b> | <b>SECOND UNIT</b>                |                 |                                                                                                                                                                                         |
| 157-02        | Second Unit Director              | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 157-04        | Cast Talent                       | YES             |                                                                                                                                                                                         |
| 157-06        | Production Staff                  | YES             |                                                                                                                                                                                         |
| 157-08        | Camera                            | YES             |                                                                                                                                                                                         |
| 157-10        | Art Department                    | YES             |                                                                                                                                                                                         |
| 157-12        | Construction                      | YES             |                                                                                                                                                                                         |
| 157-14        | Special Effects                   | YES             |                                                                                                                                                                                         |
| 157-16        | Set Operations                    | YES             |                                                                                                                                                                                         |
| 157-18        | Electrical                        | YES             |                                                                                                                                                                                         |
| 157-20        | Set Dressing                      | YES             |                                                                                                                                                                                         |
| 157-22        | Props                             | YES             |                                                                                                                                                                                         |
| 157-24        | Pic Vehicles and Animals          | YES             |                                                                                                                                                                                         |
| 157-26        | Extras                            | YES             | Tennessee Resident labor only                                                                                                                                                           |
| 157-28        | Wardrobe                          | YES             |                                                                                                                                                                                         |
| 157-30        | Makeup and Hair                   | YES             |                                                                                                                                                                                         |
| 157-32        | Sound                             | YES             |                                                                                                                                                                                         |
| 157-34        | Locations                         | YES             |                                                                                                                                                                                         |
| 157-36        | Video Tape                        | YES             |                                                                                                                                                                                         |
| 157-38        | Transportation                    | YES             |                                                                                                                                                                                         |
| 157-40        | Raw Stock/Develop                 | YES             |                                                                                                                                                                                         |
| 157-42        | Post Prod Labor                   | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 157-99        | Fringes                           | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                   |                 |                                                                                                                                                                                         |
| <b>159-00</b> | <b>SPECIAL UNIT</b>               |                 |                                                                                                                                                                                         |
| 159-02        | Talent                            | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 159-04        | Staff                             | YES             |                                                                                                                                                                                         |
| 159-06        | Labor                             | YES             |                                                                                                                                                                                         |
| 159-08        | Transportation                    | YES             |                                                                                                                                                                                         |
| 159-10        | Contract                          | YES             |                                                                                                                                                                                         |
| 159-12        | Locations                         | YES             |                                                                                                                                                                                         |
| 159-14        | Raw Stock/Develop                 | YES             |                                                                                                                                                                                         |
| 159-16        | Purchases                         | YES             |                                                                                                                                                                                         |
| 159-18        | Rentals                           | YES             |                                                                                                                                                                                         |
| 159-20        | Miscellaneous Expense             | YES             |                                                                                                                                                                                         |
| 159-99        | Fringes                           | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                   |                 |                                                                                                                                                                                         |
| <b>163-00</b> | <b>FRINGES-SHOOTING PERIOD</b>    |                 |                                                                                                                                                                                         |
| 163-02        | Pension Plan & Health and Welfare | YES             | For Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                          |
| 163-04        | Employer Taxes                    | NO              |                                                                                                                                                                                         |



| <b>Coding</b>          | <b>Category</b>                 | <b>Eligible</b> | <b>Comments</b>                                                                                                                                                                         |
|------------------------|---------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 163-06                 | Local Hire Fringes              | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
| 163-08                 | Payroll Handling                | YES             | If related expenses are incurred in Tennessee and paid to a Tennessee Vendor                                                                                                            |
| 163-10                 | Retroactive Pay                 | YES             | For Tennessee Resident labor only                                                                                                                                                       |
| 163-11                 | Accrued Holiday & Vacation      | YES             | For Tennessee Resident labor only                                                                                                                                                       |
| 163-12                 | FICA                            | YES             | For Tennessee Resident labor only and excludes the employers portion                                                                                                                    |
| 163-13                 | Workmen's Comp                  | YES             | For Tennessee Resident labor only                                                                                                                                                       |
| 163-14                 | Union Dues                      | YES             | For Tennessee Resident labor only                                                                                                                                                       |
| 163-15                 | Medicare & Medicaid             | YES             | For Tennessee Resident labor only and excludes the employers portion                                                                                                                    |
|                        |                                 |                 |                                                                                                                                                                                         |
| <b>POST PRODUCTION</b> |                                 |                 |                                                                                                                                                                                         |
|                        |                                 |                 |                                                                                                                                                                                         |
| <b>165-00</b>          | <b>EDITING &amp; PROJECTION</b> |                 |                                                                                                                                                                                         |
| 165-08                 | Film Editor                     | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 165-10                 | Assistant Film Editors          | YES             |                                                                                                                                                                                         |
| 165-12                 | Conforming                      | YES             |                                                                                                                                                                                         |
| 165-14                 | Post Prod Supervisor            | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 165-16                 | Projectionist                   | YES             |                                                                                                                                                                                         |
| 165-18                 | Coding and Misc Editorial       | YES             |                                                                                                                                                                                         |
| 165-20                 | Coding Equipment                | YES             | The amount is limited to the net cost of the asset purchases less sales proceeds to 20% of the purchases price, whichever is less (unless the asset is destroyed in production).        |
| 165-22                 | Sound Effects Editing           | YES             |                                                                                                                                                                                         |
| 165-24                 | ADR Editing                     | YES             |                                                                                                                                                                                         |
| 165-26                 | Production Assistant            | YES             | Tennessee Resident labor only                                                                                                                                                           |
| 165-28                 | Negative Cutting                | YES             |                                                                                                                                                                                         |
| 165-30                 | Music Editors                   | YES             | Tennessee Resident labor only                                                                                                                                                           |
| 165-32                 | Post Ship                       | YES             |                                                                                                                                                                                         |
| 165-33                 | Local Messenger                 | YES             | Tennessee Resident labor only                                                                                                                                                           |
| 165-34                 | Travel                          | YES             | Travel to/from/within the state of Tennessee, purchased through a Tennessee based vendor, company, or person subject to taxation in this State. Excludes private/charter flights.       |
|                        | Living                          | YES             | Housing (in-state), living allowances and per diems paid to Tennessee Residents and non-residents related to services performed in Tennessee                                            |
| 165-35                 | Meals                           | YES             | Housing (in-state), living allowances and per diems paid to Tennessee Residents and non-residents related to services performed in Tennessee                                            |
| 165-36                 | Continuity Expenses             | YES             |                                                                                                                                                                                         |
| 165-38                 | Purchases                       | YES             |                                                                                                                                                                                         |
| 165-40                 | Expendables                     | YES             |                                                                                                                                                                                         |
| 165-42                 | Rentals                         | YES             |                                                                                                                                                                                         |
| 165-44                 | Editorial Room Rentals          | YES             |                                                                                                                                                                                         |
| 165-46                 | Editors' KEM/Equipment          | YES             | The amount is limited to the net cost of the asset purchases less sales proceeds to 20% of the purchases price, whichever is less (unless the asset is destroyed in production).        |
| 165-48                 | Bins, Sync, Racks               | YES             |                                                                                                                                                                                         |
| 165-50                 | Lightworks System               | YES             |                                                                                                                                                                                         |
| 165-52                 | Equip, Deliver/Pickup           | YES             |                                                                                                                                                                                         |
| 165-54                 | Sound Editors' Room             | YES             |                                                                                                                                                                                         |
| 165-56                 | Music Editors' Room             | YES             |                                                                                                                                                                                         |
| 165-58                 | Other Equip.                    | YES             |                                                                                                                                                                                         |
| 165-99                 | Fringes                         | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|                        |                                 |                 |                                                                                                                                                                                         |
| <b>167-00</b>          | <b>MUSIC</b>                    |                 |                                                                                                                                                                                         |
| 167-02                 | Clearances                      | YES             | Purchase must be made from a Tennessee Vendor                                                                                                                                           |
| 167-04                 | Writers                         | YES             | Tennessee Resident labor only                                                                                                                                                           |
| 167-06                 | Composers                       | YES             | Tennessee Resident labor only                                                                                                                                                           |
| 167-08                 | Supervisor                      | YES             | Tennessee Resident labor only                                                                                                                                                           |

| <u>Coding</u>  | <u>Category</u>                | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                          |
|----------------|--------------------------------|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 167-10         | Arrangers                      | YES             | Tennessee Resident labor only                                                                                                                                                            |
| 167-12         | Copyists                       | YES             | Tennessee Resident labor only                                                                                                                                                            |
| 167-14         | Pre-Score Musicians            | YES             | Tennessee Resident labor only                                                                                                                                                            |
| 167-16         | Underscore Musicians           | YES             | Tennessee Resident labor only                                                                                                                                                            |
| 167-18         | Star Vocalist                  | YES             | Tennessee Resident labor only                                                                                                                                                            |
| 167-20         | Vocalists                      | YES             | Tennessee Resident labor only                                                                                                                                                            |
| 167-22         | Music Editing                  | YES             | Tennessee Resident labor only                                                                                                                                                            |
| 167-24         | Travel Expenses                | YES             | Travel to/from/within the state of Tennessee, purchased through a Tennessee based vendor, company, or person subject to taxation in this State. Excludes private/charter flights.        |
|                | Living Expenses                | YES             | Housing (in-state), living allowances and per diems paid to Tennessee Residents and non-residents related to services performed in Tennessee                                             |
| 167-25         | Meals                          | YES             | If related expenses are incurred in Tennessee and paid to a Tennessee based vendor, company, or person subject to taxation in this State. Alcohol and tobacco are specifically excluded. |
| 167-26         | Purchases                      | YES             |                                                                                                                                                                                          |
| 167-28         | Cassettes                      | YES             |                                                                                                                                                                                          |
| 167-30         | Rental and Cartage             | YES             |                                                                                                                                                                                          |
| 167-99         | Fringes                        | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.)  |
|                |                                |                 |                                                                                                                                                                                          |
|                |                                |                 |                                                                                                                                                                                          |
| <b>169-00</b>  | <b>SOUND (POST PRODUCTION)</b> |                 |                                                                                                                                                                                          |
| 169-02         | Dubbing Stage                  | YES             |                                                                                                                                                                                          |
| 169-04         | Temp Dub                       | YES             |                                                                                                                                                                                          |
| 169-06         | Pre Dub                        | YES             |                                                                                                                                                                                          |
| 169-08         | Final Dub                      | YES             |                                                                                                                                                                                          |
| 169-10         | Post Preview/Session           | YES             |                                                                                                                                                                                          |
| 169-12         | Foreign Mu/Fx                  | YES             |                                                                                                                                                                                          |
| 169-14         | DTS                            | YES             |                                                                                                                                                                                          |
| 169-18         | ADR Stage                      | YES             |                                                                                                                                                                                          |
| 169-20         | Foley Efx Recording            | YES             |                                                                                                                                                                                          |
| 169-22         | Walkers                        | YES             |                                                                                                                                                                                          |
| 169-24         | Video Transfer                 | YES             |                                                                                                                                                                                          |
| 169-26         | Tape Transfer                  | YES             |                                                                                                                                                                                          |
| 169-28         | Dubbing                        | YES             |                                                                                                                                                                                          |
| 169-30         | Travel                         | YES             | Travel to/from/within the state of Tennessee, purchased through a Tennessee based vendor, company, or person subject to taxation in this State. Excludes private/charter flights.        |
| 169-31         | Living Expenses                | YES             | Housing (in-state), living allowances and per diems paid to Tennessee Residents and non-residents related to services performed in Tennessee                                             |
| 169-32         | Purchases                      | YES             |                                                                                                                                                                                          |
| 169-34         | Equipment Rental               | YES             |                                                                                                                                                                                          |
| 169-36         | Dolby Cards                    | YES             |                                                                                                                                                                                          |
| 169-38         | DTS Fee                        | YES             |                                                                                                                                                                                          |
| 169-40         | License Fee                    | NO              |                                                                                                                                                                                          |
| 169-42         | Dolby License                  | NO              |                                                                                                                                                                                          |
| 169-44         | DTS License                    | NO              |                                                                                                                                                                                          |
| 169-46         | SDDS License                   | NO              |                                                                                                                                                                                          |
| 169-48         | Close Captioning               | NO              |                                                                                                                                                                                          |
| 169-99         | Fringes                        | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.)  |
|                |                                |                 |                                                                                                                                                                                          |
| <b>171 -00</b> | <b>FILM &amp; STOCK SHOTS</b>  |                 |                                                                                                                                                                                          |
| 171-02         | Film Leader                    | YES             | Tennessee Resident labor and Qualifying Non Resident labor                                                                                                                               |
| 171-04         | Stock Shot Purchase            | YES             |                                                                                                                                                                                          |
| 171-06         | Stock Shots Labor              | YES             | Tennessee Resident labor and Qualifying Non Resident labor                                                                                                                               |
| 171-08         | Stock Shots Film & Process     | YES             |                                                                                                                                                                                          |

| <u>Coding</u> | <u>Category</u>                   | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                         |
|---------------|-----------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 171-10        | Reprints                          | YES             |                                                                                                                                                                                         |
| 171-12        | Lab Special Handling              | YES             |                                                                                                                                                                                         |
| 171-14        | Video Cassettes/Tape              | YES             |                                                                                                                                                                                         |
| 171-16        | Reversal Dupes                    | YES             |                                                                                                                                                                                         |
| 171-18        | Tape Purchase                     | YES             |                                                                                                                                                                                         |
| 171-20        | Optical Sound Track               | YES             |                                                                                                                                                                                         |
| 171-22        | Reference Print                   | YES             |                                                                                                                                                                                         |
| 171-24        | Protection Dupes                  | YES             |                                                                                                                                                                                         |
| 171-26        | Composite Print                   | YES             |                                                                                                                                                                                         |
| 171-28        | Laboratory Overtime               | YES             |                                                                                                                                                                                         |
| 171-30        | Negative Splicing                 | YES             |                                                                                                                                                                                         |
| 171-32        | Answer Prints                     | YES             |                                                                                                                                                                                         |
| 171-34        | Check Print                       | YES             |                                                                                                                                                                                         |
| 171-36        | Interpositive                     | YES             |                                                                                                                                                                                         |
| 171-38        | Protection Master-YCM             | YES             |                                                                                                                                                                                         |
| 171-40        | Master Positive/YCM               | YES             |                                                                                                                                                                                         |
|               |                                   |                 |                                                                                                                                                                                         |
| <b>173-00</b> | <b>VISUAL EFFECTS</b>             |                 |                                                                                                                                                                                         |
| 173-02        | Visual Effects Supervisor         | YES             | Tennessee Resident and Qualifying Non Resident Labor                                                                                                                                    |
| 173-04        | Miniatures                        | YES             |                                                                                                                                                                                         |
| 173-06        | Wire Removal                      | YES             |                                                                                                                                                                                         |
| 173-08        | Mattes                            | YES             |                                                                                                                                                                                         |
| 173-10        | Purchases                         | YES             |                                                                                                                                                                                         |
| 173-12        | Misc Expenses                     | YES             |                                                                                                                                                                                         |
| 173-99        | Fringes                           | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                   |                 |                                                                                                                                                                                         |
| <b>175-00</b> | <b>TITLES, OPTICALS, INSERTS</b>  |                 |                                                                                                                                                                                         |
| 175-02        | Main & End Titles                 | YES             |                                                                                                                                                                                         |
| 175-04        | Title Designer                    | YES             | Tennessee Resident and Qualifying Non Resident labor                                                                                                                                    |
| 175-06        | Optical Effects                   | YES             |                                                                                                                                                                                         |
| 175-08        | Inserts                           | YES             |                                                                                                                                                                                         |
| 175-10        | Trademarks and Rating             | YES             |                                                                                                                                                                                         |
| 175-12        | Optical Development               | YES             |                                                                                                                                                                                         |
| 175-99        | Fringes                           | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                   |                 |                                                                                                                                                                                         |
| <b>179-00</b> | <b>FRINGES - POST PRODUCTION</b>  |                 |                                                                                                                                                                                         |
| 179-02        | Pension Plan & Health and Welfare | YES             | For Tennessee Resident labor only                                                                                                                                                       |
| 179-04        | Employer Taxes                    | NO              |                                                                                                                                                                                         |
| 179-06        | Local Hire Fringes                | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
| 179-08        | Payroll Handling                  | YES             | If related expenses are incurred in Tennessee and paid to a Tennessee based vendor, company, or person subject to taxation in this State.                                               |
| 179-10        | Retroactive Pay                   | YES             | For Tennessee Resident labor only                                                                                                                                                       |
|               |                                   |                 |                                                                                                                                                                                         |
| <b>OTHER</b>  |                                   |                 |                                                                                                                                                                                         |
|               |                                   |                 |                                                                                                                                                                                         |
| <b>181-00</b> | <b>INSURANCE</b>                  |                 |                                                                                                                                                                                         |
| 181-02        | Cast Insurance                    | YES             | If purchased through a Tennessee based insurance agent and purchased specifically for production.                                                                                       |
| 181-04        | Negative Insurance                | YES             | If purchased through a Tennessee based insurance agent and purchased specifically for production.                                                                                       |
| 181-06        | Deductibles                       | YES             | If purchased through a Tennessee based insurance agent and purchased specifically for production.                                                                                       |
| 181-08        | Marine and Aircraft               | YES             | If purchased through a Tennessee based insurance agent and purchased specifically for production.                                                                                       |

| <b>Coding</b> | <b>Category</b>                            | <b>Eligible</b> | <b>Comments</b>                                                                                                                                                                         |
|---------------|--------------------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 181-10        | Miscellaneous such as errors and Omissions | YES             | If purchased through a Tennessee based insurance agent and purchased specifically for production.                                                                                       |
| 181-11        | Deductibles                                | YES             |                                                                                                                                                                                         |
|               |                                            |                 |                                                                                                                                                                                         |
| <b>183-00</b> | <b>UNIT PUBLICITY</b>                      |                 |                                                                                                                                                                                         |
| 183-02        | Unit Publicist                             | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 183-04        | Publicity Contract                         | YES             |                                                                                                                                                                                         |
| 183-06        | Outside Photographer                       | YES             | Tennessee Resident labor and Qualifying Non Resident Labor                                                                                                                              |
| 183-08        | Stills Film and Processing for Shoot       | YES             |                                                                                                                                                                                         |
| 156-99        | Fringes                                    | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
|               |                                            |                 |                                                                                                                                                                                         |
| <b>185-00</b> | <b>PRODUCT PLACEMENT</b>                   |                 |                                                                                                                                                                                         |
| 185-02        | Product Placement Credits                  | YES             |                                                                                                                                                                                         |
|               |                                            |                 |                                                                                                                                                                                         |
| <b>187-00</b> | <b>GENERAL EXPENSES</b>                    |                 |                                                                                                                                                                                         |
| 187-02        | MPAA Seal                                  | NO              | If related expenses are incurred in Tennessee and paid to a Tennessee based vendor, company, or person subject to taxation in this State.                                               |
| 187-04        | Work Order Transfers                       | YES             | If related expenses are incurred in Tennessee and paid to a Tennessee based vendor, company, or person subject to taxation in this State.                                               |
| 187-06        | Legal Fees                                 | YES             | If related expenses are incurred in Tennessee and paid to a Tennessee based vendor, company, or person subject to taxation in this State.                                               |
| 187-08        | Bank/Exchange Costs                        | NO              | If related expenses are incurred in Tennessee and paid to a Tennessee based vendor, company, or person subject to taxation in this State.                                               |
| 187-09        | Certified Public Accountant                | NO              | If related expenses are incurred in Tennessee and paid to a Tennessee based vendor, company, or person subject to taxation in this State.                                               |
| 187-10        | Professional Fees                          | YES             | If related expenses are incurred in Tennessee and paid to a Tennessee based vendor, company, or person subject to taxation in this State.                                               |
| 187-14        | Outside Bank Interest                      | NO              |                                                                                                                                                                                         |
| 187-16        | Preview Expenses                           | NO              |                                                                                                                                                                                         |
| 187-18        | Previews                                   | NO              |                                                                                                                                                                                         |
| 187-20        | Office Purchases                           | YES             |                                                                                                                                                                                         |
| 187-22        | Computers and Software                     | YES             | Limited to the net cost of the asset purchases less sales proceeds to 20% of the purchases price, whichever is less                                                                     |
| 187-24        | Office Space Rental                        | YES             |                                                                                                                                                                                         |
| 187-26        | Shipping                                   | YES             | shipping only included if with fedex (a TN company) and the shipping originated or ended in Tennessee                                                                                   |
| 187-28        | Office Equipment Rental                    | YES             |                                                                                                                                                                                         |
| 187-30        | Post Office Equipment                      | YES             | The amount is limited to the net cost of the asset purchases less sales proceeds to 20% of the purchases price, whichever is less (unless the asset is destroyed in production).        |
| 187-32        | Miscellaneous                              | YES             |                                                                                                                                                                                         |
| 187-34        | OSHA Safety                                | YES             |                                                                                                                                                                                         |
| 187-36        | Wrap Party                                 | NO              |                                                                                                                                                                                         |
| 187-37        | Accounting Fees                            | YES             |                                                                                                                                                                                         |
|               |                                            |                 |                                                                                                                                                                                         |

| <u>Coding</u> | <u>Category</u>                   | <u>Eligible</u> | <u>Comments</u>                                                                                                                                                                         |
|---------------|-----------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>189-00</b> | <b>FRINGES - OTHER</b>            |                 |                                                                                                                                                                                         |
| 189-02        | Pension Plan & Health and Welfare | YES             | For Tennessee Resident labor only                                                                                                                                                       |
| 189-04        | Employer Taxes                    | NO              |                                                                                                                                                                                         |
| 189-06        | Local Hire Fringes                | YES             | Fringes for Tennessee Resident for services performed in Tennessee, excluding the employer portion of any amounts paid to the government or governmental agency (e.g. FICA, FUTA, etc.) |
| 189-08        | Payroll Handling                  | YES             | If related expenses are incurred in Tennessee and paid to a Tennessee based vendor, company, or person subject to taxation in this State.                                               |
| 189-09        | Per Diem                          | YES             | Housing (in-state), living allowances and per diems paid to Tennessee Residents and non-residents related to services performed in Tennessee                                            |
|               |                                   |                 |                                                                                                                                                                                         |
| <b>191-00</b> | <b>INSURANCE CLAIMS</b>           |                 |                                                                                                                                                                                         |
| 191-02        | Cast                              | YES             | If purchased through a Tennessee based insurance agent and purchased specifically for production.                                                                                       |
| 191-04        | Negative                          | YES             | If purchased through a Tennessee based insurance agent and purchased specifically for production.                                                                                       |
| 191-06        | Extra Expenses                    | YES             | If purchased through a Tennessee based insurance agent and purchased specifically for production.                                                                                       |
| 191-08        | Marine, Aircraft Etc.             | YES             | If purchased through a Tennessee based insurance agent and purchased specifically for production.                                                                                       |
|               |                                   |                 |                                                                                                                                                                                         |
| <b>193-00</b> | <b>COMPLETION BOND</b>            | NO              |                                                                                                                                                                                         |
|               |                                   |                 |                                                                                                                                                                                         |
| <b>195-00</b> | <b>CONTINGENCY</b>                | NO              |                                                                                                                                                                                         |
|               |                                   |                 |                                                                                                                                                                                         |
| <b>197-00</b> | <b>MARKETING AND ADVERTISING</b>  | NO              |                                                                                                                                                                                         |

## DATA REQUIREMENTS

- The data must be in one Excel spreadsheet (not multiple tabs) or one Access database table (not multiple tables). **All Qualifying NonResident Payroll expenditures must be categorized separately.**
- The data cannot be submitted in any other format such as PDF, XML, delimited, CSV, PRN, reports, etc. (No use of commas, "&" and any special characters in the file name upon submission)
- The data must contain specific identifying information about the transaction that is sufficient to locate the source document (paper receipt) such as vendor/supplier name, employee name (if payroll related), week ending date (if payroll related) invoice date, invoice number/transaction number, general ledger account number, proof of payment (check number, envelope number, etc), description, transaction type, transaction date, transaction number, etc. This is not an exhaustive list, but rather an example of the detail needed on each transaction/line of data.
- The amount of the Qualified Tennessee Expenditures must be in one data column and have an amount on every line of the data for the transaction. The sum of this column must represent the total Tennessee spends for the time period represented. If the column is summed in Excel or Access and does not sum to the number represented at the bottom of the column, the data will be returned for correction.
- Every effort should be made to list the spend for each transaction and not multiple payments or advances toward a single transaction/spend.
- The data must have a clear cutoff for the claim and that cutoff must be identified to the Tennessee Entertainment Commission. For example, the claim could be for all Tennessee expenditures between February 2, 20XX and October 13, 20XX. Therefore, if a subsequent claim is filed, all Tennessee expenditures submitted to the Tennessee Entertainment Commission would be for expenditures after October 13, 20XX. It is imperative that this is clear so that duplicate expenditures are not presented in multiple claims.

### Required Data Elements

| <i>Field Name</i>          | <i>Explanation</i>                                                                                                                                   |
|----------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| General Ledger Account     |                                                                                                                                                      |
| Vendor Name                |                                                                                                                                                      |
| Invoice Number             |                                                                                                                                                      |
| Invoice Date               |                                                                                                                                                      |
| Description                | Make sure enough information is present to differentiate from another line within the TN spend data                                                  |
| Employee Name              | Must include employee name for payroll transactions.                                                                                                 |
| Week Ending Date           | This will show the payroll week.                                                                                                                     |
| Check Number               | You must have check number as proof of payment unless Petty Cash.                                                                                    |
| Check Date                 |                                                                                                                                                      |
| Petty Cash Envelope Number |                                                                                                                                                      |
| Transaction Type           | This should be Payroll, AP or Petty Cash. <b>Internal Journal Entries not accepted in the General Ledger submission.</b>                             |
| Transaction Number         | If your computer system issues a transaction number to all entries, please provide that information.                                                 |
| Transaction Date           | If you use a transaction date or entry date as the cutoff date, you will need to provide this data field.                                            |
| Amount of TN spend         | Must be the amount claimed for the refund/incentive – (Include the employee gross pay if this is a payment to an employee or a payroll transaction). |

You will have to indicate the cutoff date for each data set provided to ensure that entries are not included multiple times for payment. The date field used to identify the cutoff must be in each data submission and date ranges cannot overlap between sets of data provided for the incentive. Overlapping date ranges will result in a reduction of incentive amounts approved.

All line items that are identical to another data line will be removed and not allowed as a qualified spends. If the lines are not truly duplicates, make sure that plenty of detail is provided to prove two different payments. The ideal situation is that similar items be paid with different check numbers. Any amounts removed from qualified spend by journal entry should have both the spend and journal entry removed from the file before submission.

# Tennessee Entertainment Commission

## Appendix F: AUP Testing Selection Guidance

### Film & Scoring Incentives

#### Sampling of Qualified Tennessee Expenditures, paid to individuals (payroll)

|                   | Qualified Tennessee Payroll<br>Less than \$500,000            | Qualified Tennessee Payroll<br>Greater than or equal to<br>\$500,000 but less than<br>\$2,500,000 | Qualified Tennessee Payroll<br>Greater than or equal to<br>\$2,500,000 |
|-------------------|---------------------------------------------------------------|---------------------------------------------------------------------------------------------------|------------------------------------------------------------------------|
| <b>Top Strata</b> | Top Ten employees by gross wages<br>(or all reaching maximum) | Top Ten employees by gross wages<br>(or all reaching maximum)                                     | Top Fifteen employees by gross wages<br>(or all reaching maximum)      |
| <b>Strata 1</b>   | 10 employees with gross wages less than Top Strata            | 15 employees with gross wages less than Top Strata                                                | 35 employees with gross wages less than Top Strata                     |

#### Sampling of Qualified Tennessee Expenditures, other than payments to individuals (non-payroll)

|                   | Qualified Tennessee<br>Non-Payroll<br>Less than \$500,000                               | Qualified Tennessee<br>Non-Payroll<br>Greater than or equal to<br>\$500,000 but less than<br>\$2,500,000 | Qualified Tennessee<br>Non-Payroll<br>Greater than or equal to<br>\$2,500,000            |
|-------------------|-----------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| <b>Top Strata</b> | All Qualified Tennessee Expenditures Greater than or equal to \$25,000                  | All Qualified Tennessee Expenditures Greater than or equal to \$25,000                                   | All Qualified Tennessee Expenditures Greater than or equal to \$25,000                   |
| <b>Strata 1</b>   | 25 Qualified Tennessee Expenditures Greater than or equal to \$2,000 less than \$25,000 | 50 Qualified Tennessee Expenditures Greater than or equal to \$2,000 less than \$25,000                  | 100 Qualified Tennessee Expenditures Greater than or equal to \$2,000 less than \$25,000 |
| <b>Strata 2</b>   | 25 Qualified Tennessee Expenditures Less than \$2,000                                   | 25 Qualified Tennessee Expenditures Less than \$2,000                                                    | 50 Qualified Tennessee Expenditures Less than \$2,000                                    |